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GASB STATEMENT NO. 68 REPORT

FOR THE

TEACHERS' RETIREMENT SYSTEM

OF THE STATE OF KENTUCKY

PREPARED AS OF JUNE 30, 2021





Cavanaugh Macdonald

CONSULTING, LLC

The experience and dedication you deserve

May 24, 2022

Board of Trustees
Teachers' Retirement System of the
State of Kentucky
479 Versailles Road
Frankfort, KY 40601-3800

Members of the Board:

Presented in this report is information to assist the Teachers' Retirement System of the State of Kentucky (TRS) in meeting the requirements of the Governmental Accounting Standards Board (GASB) Statement No. 68 and to identify the information to be provided by the actuary, Cavanaugh Macdonald Consulting (CMC). This report has been prepared as of June 30, 2021 (the Measurement Date).

GASB Statement Number 68 established accounting and financial reporting requirements for governmental employers that provide pension benefits to their employees through a trust.

The annual actuarial valuation used as a basis for much of the information presented in this report was performed as of June 30, 2020. The valuation was based upon data, furnished by the TRS staff, for active, inactive and retired members along with pertinent financial information. While not verifying data at the source, the actuary performed tests for consistency and reasonableness.

In order to prepare the results in this report, we have utilized appropriate actuarial models that were developed for this purpose. These models use assumptions about future contingent events along with recognized actuarial approaches to develop the needed results.

The actuarial calculations were performed by qualified actuaries according to generally accepted actuarial principles and practices, as well as in conformity with Actuarial Standards of Practice issued by the Actuarial Standards Board. The calculations are based on the current provisions of the Plan, and on actuarial assumptions that are, internally consistent and individually reasonable based on the actual experience of the Plan. In addition, the calculations were completed in compliance with the laws governing the Plan and, in our opinion, meet the requirements of GASB 68. The undersigned are members of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein.



Board of Trustees
May 24, 2022
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These results are only for financial reporting and may not be appropriate for funding purposes or other types of analysis. Calculations for purposes other than satisfying the requirements of GASB 67 and GASB 68 may produce significantly different results. Future actuarial results may differ significantly from the current results presented in this report due to such factors as changes in plan experience or changes in economic or demographic assumptions.

Sincerely yours,

A handwritten signature in blue ink that reads 'Edward J. Koebel'.

Edward J. Koebel, EA, FCA, MAAA
Chief Executive Officer

A handwritten signature in blue ink that reads 'Alisa Bennett'.

Alisa Bennett, FSA, EA, FCA, MAAA
President

A handwritten signature in blue ink that reads 'Cathy Turcot'.

Cathy Turcot
Principal and Managing Director



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Section I – Introduction

The Governmental Accounting Standards Board issued Statement No. 68 (GASB 68), *“Accounting and Financial Reporting For Pensions”* in June 2012. The Teachers’ Retirement System of the State of Kentucky (TRS) is a cost-sharing multiple employer defined benefit pension plan.

This report, prepared as of June 30, 2021 (the Measurement Date), presents information to assist the employers participating in TRS in meeting the requirements of GASB 68 for the fiscal year ending June 30, 2022 (Reporting Date). Much of the material provided in this report is based on the data we received to prepare the annual actuarial valuation of TRS as of June 30, 2020, and the assumptions from the most recent experience investigation prepared as of June 30, 2020. The results of the valuation were detailed in a report dated November 13, 2020 and the results of the experience investigation were detailed in a report dated September 28, 2021.

The NPL shown in the GASB Statement No. 67 Report for the Teachers’ Retirement System of the State of Kentucky Prepared as of June 30, 2021, and submitted November 9, 2021, is the collective NPL used for purposes of GASB 68. Please refer to that report for the derivation of the collective NPL.

Pension Expense (PE) includes amounts for service cost (the normal cost under the Entry Age Normal actuarial cost method for the year), interest on the Total Pension Liability (TPL), changes in benefit structure, amortization of increases/decreases in liability due to actuarial experience and actuarial assumption changes, and amortization of investment gains/losses. The actuarial experience and assumption change impacts are amortized over the average expected remaining service life of the Plan membership as of the Measurement Date, and investment gains/losses are amortized over five years. The development of the collective PE is shown in Section IV.

The unamortized portions of each year’s experience, assumption changes and investment gains/losses are used to develop deferred inflows and outflows, which also must be included in the employer’s financial statements. The development of the collective deferred inflows and outflows is shown in Section III.

These collective amounts have been allocated based on actual contributions made to TRS during the measurement period to determine the proportionate share to each participating employer. In addition, TRS receives contributions directly from the State of Kentucky for all participating employers. These employers are considered to be in a special funding situation as defined by GASB 68 and the State is treated as a non-employer contributing entity in TRS.

Schedule A of this report shows the total amount of employer contributions for the year ending June 30, 2021 from each participating employer, the amount of contributions from the State associated with each employer in special funding situation and the total amount of State contributions. Schedule A also shows the proportionate share percentages that have been determined based on these contributions.

Based on these percentages we have determined the proportionate share amounts of the NPL, PE and Deferred Inflows and Outflows for each participating employer. These amounts are shown in Schedule B. The proportionate share amounts of each of these items associated with each employer in a special funding situation, and the total proportionate share amounts of each item for the State are also provided.



Section I – Introduction

Section II of this report is a summary of the principal results of the collective amounts under GASB 68. Section III provides the results of all the necessary calculations, presented in the order laid out in GASB 68 for note disclosure and Required Supplementary Information (RSI).



Section II – Summary of Collective Amounts

(\$ IN THOUSANDS)

	2021
Valuation Date:	June 30, 2020
Prior Measurement Date:	June 30, 2020
Measurement Date:	June 30, 2021
Reporting Date:	June 30, 2022
Single Equivalent Interest Rate (SEIR):	
Long-Term Expected Rate of Return	7.10%
Municipal Bond Index Rate at Prior Measurement Date	2.19%
Municipal Bond Index Rate at Measurement Date	2.13%
Fiscal Year in which Plan's Fiduciary Net Position is projected to be depleted from future benefit payments for current members	N/A
Single Equivalent Interest Rate at Prior Measurement Date	7.50%
Single Equivalent Interest Rate at Measurement Date	7.10%
Net Pension Liability:	
Total Pension Liability (TPL)	\$39,541,567
Fiduciary Net Position (FNP)	<u>25,935,779</u>
Net Pension Liability (NPL = TPL – FNP)	\$13,605,788
FNP as a percentage of TPL	65.59%
Pension Expense (PE):	(\$2,128,995)
Deferred Outflows of Resources:	\$2,381,825
Deferred Inflows of Resources:	\$4,619,547



Section III – Notes to the Financial Statements

The material presented herein will follow the order presented in GASB 68. Paragraph numbers are provided for ease of reference. Amounts are shown in aggregate. Please refer to Schedule B of this report for the proportionate share of certain pension amounts as required by GASB 68.

Paragraphs 77 and 78(a)-(e): These paragraphs require information to be disclosed regarding the actuarial assumptions used to measure the TPL. The complete set of actuarial assumptions utilized in developing the TPL are outlined in Schedule C. The TPL was determined by an actuarial valuation as of June 30, 2020, using the following key actuarial assumptions:

Inflation	2.50 percent
Salary increases, including inflation	3.00 – 7.50 percent
Long-Term Investment Rate of Return, net of pension plan investment expense, including inflation	7.10 percent
Municipal Bond Index Rate	
Prior Measurement Date	2.19 percent
Measurement Date	2.13 percent
Year FNP is projected to be depleted	N/A
Single Equivalent Interest Rate, net of pension plan investment expense, including inflation	
Prior Measurement Date	7.50 percent
Measurement Date	7.10 percent
Post-Retirement Benefit Increases	1.50% annually

Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality Table projected generationally with MP-2020 with various set-forwards, set-backs, and adjustments for each of the groups; service, retirees, contingent annuitants, disabled retirees, and active members. The actuarial assumptions used were based on the results of an actuarial experience study for the 5-year period ending June 30, 2020, adopted by the board on September 20, 2021. The assumed long-term investment rate of return was changed from 7.50 percent to 7.10 percent and the price inflation assumption was lowered from 3.0 percent to 2.5 percent. The Municipal Bond Index Rate used for this purpose is the June average of the Bond Buyer General Obligation 20-year Municipal Bond Index.

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.



Section III – Notes to the Financial Statements

The target asset allocation and best estimates of arithmetic real rates of return for each major asset class, as provided by TRS's investment consultant, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rates of Return
Large Cap U.S. Equity	37.4%	4.2%
Small Cap U.S. Equity	2.6%	4.7%
Developed International Equity	16.5%	5.3%
Emerging Markets Equity	5.5%	5.4%
Fixed Income	15.0%	(0.1)%
High Yield Bonds	2.0%	1.7%
Other Additional Categories	5.0%	2.2%
Real Estate	7.0%	4.0%
Private Equity	7.0%	6.9%
Cash	2.0%	(0.3)%
Total	100.0%	

Discount rate. The discount rate used to measure the TPL as of the Measurement Date was 7.10 percent. The projection of cash flows used to determine the discount rate was performed in accordance with GASB 67. We assumed that Plan member contributions will be made at the current contribution rates and that Employer contributions will be made at the Actuarially Determined Contribution rates for all fiscal years in the future. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Paragraph 78 (g): This paragraph requires disclosure of the sensitivity of the net pension liability to changes in the discount rate. The following presents the net pension liability of the System, calculated using the discount rate of 7.10 percent, as well as what the System's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.10 percent) or 1-percentage-point higher (8.10 percent) than the current rate (\$ thousands):

	1% Decrease (6.10%)	Current Discount Rate (7.10%)	1% Increase (8.10%)
System's net pension liability	\$18,389,990	\$13,605,788	\$9,631,759



Section III – Notes to the Financial Statements

Paragraph 80(a): This paragraph requires disclosure of the employer's proportionate share of the collective NPL and if an employer has a special funding situation the portion of the non-employer contributing entities' proportional share of the collective NPL that is associated with the employer. These amounts are shown in Schedule B.

Paragraph 80(b): This paragraph requires disclosure of the employer's proportion (percentage) of the collective NPL and the changes in proportion since the prior measurement date. These amounts are shown for all entities in Schedule A.

Paragraph 80(c): June 30, 2020 is the actuarial valuation date upon which the TPL is based. An expected TPL is determined as of June 30, 2021 using standard roll forward techniques. The procedure used to determine the TPL as of June 30, 2021 is shown on page 5 of the GASB 67 report for TRS submitted on November 9, 2021.

Paragraph 80(g): Please see Section IV of this report for the development of the collective pension expense. The PE for each employer is shown in Schedule B.

Paragraph 80(h): Since certain expense items are amortized over closed periods each year, the deferred portions of these items must be tracked annually. If the amounts serve to reduce pension expense they are labeled deferred inflows. If they will increase pension expense they are labeled deferred outflows. The amortization of these amounts is accomplished on a level dollar basis, with no interest included in the deferred amounts. Experience gains/losses and the impact of changes in actuarial assumptions or other inputs, if any, are amortized over the average expected remaining service life of the active and inactive Plan members at the beginning of the fiscal year. Investment gains and losses are amortized over a fixed five-year period.



Section III – Notes to the Financial Statements

The table below provides a summary of the collective deferred inflows and outflows as of the Measurement Date. The allocation of the collective deferred inflows and outflows is provided in Schedule B.

	Collective Deferred Outflows of Resources (\$ thousands)	Collective Deferred Inflows of Resources (\$ thousands)
Differences between expected and actual experience	\$58,452	\$20,225
Changes of actuarial assumptions or other inputs	2,323,373	1,287,939
Net difference between projected and actual earnings on plan investments	<u>0</u>	<u>3,311,383</u>
Total	<u>\$2,381,825</u>	<u>\$4,619,547</u>

Paragraph 80(i): Collective amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Deferred Amounts to be Recognized in Fiscal Years Following the Reporting Date: (\$ thousands)	
Year 1	(\$1,381,611)
Year 2	26,429
Year 3	(59,608)
Year 4	(822,932)
Year 5	0
Thereafter	<u>0</u>

The allocation of these deferred amounts for each participating employer is shown in Schedule C.



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences between Expected and Actual Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2021	\$32,475	\$0	4.1	\$0	\$0	\$32,475	\$0	\$7,921	\$0	\$24,554	\$0
2020	10,661	0	4.2	8,123	0	0	0	2,538	0	5,585	0
2019	93,650	0	4.3	50,092	0	0	0	21,779	0	28,313	0
2018	0	222,473	4.4	0	70,787	0	0	0	50,562	0	20,225
2017	199,471	0	4.3	13,915	0	0	0	13,915	0	0	0
2016	0	58,035	5.5	0	5,275	0	0	0	5,275	0	0
Total				<u>\$72,130</u>	<u>\$76,062</u>	<u>\$32,475</u>	<u>\$0</u>			<u>\$58,452</u>	<u>\$20,225</u>



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences from Assumption Changes or Other Inputs (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2021	\$3,072,848	\$0	4.1	\$0	\$0	\$3,072,848	\$0	\$749,475	\$0	\$2,323,373	\$0
2020	0	0	4.2	0	0	0	0	0	0	0	0
2019	0	0	4.3	0	0	0	0	0	0	0	0
2018	0	14,167,315	4.4	0	4,507,783	0	0	0	3,219,844	0	1,287,939
2017	0	2,321,327	4.3	0	161,955	0	0	0	161,955	0	0
2016	4,030,834	0	5.5	366,439	0	0	0	366,439	0	0	0
Total				<u>\$366,439</u>	<u>\$4,669,738</u>	<u>\$3,072,848</u>	<u>\$0</u>			<u>\$2,323,373</u>	<u>\$1,287,939</u>



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences in Investment Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2021	\$0	\$4,493,351	5.0	\$0	\$0	\$0	\$4,493,351	\$0	\$898,670	\$0	\$3,594,681
2020	405,785	0	5.0	324,628	0	0	0	81,157	0	243,471	0
2019	387,374	0	5.0	232,424	0	0	0	77,475	0	154,949	0
2018	0	576,610	5.0	0	230,244	0	0	0	115,122	0	115,122
2017	0	1,236,574	5.0	0	247,314	0	0	0	247,314	0	0
Total				<u>\$557,052</u>	<u>\$477,558</u>	<u>\$0</u>	<u>\$4,493,351</u>			<u>\$398,420</u>	<u>\$3,709,803</u>
Net difference between projected and actual earnings on investments										\$0	\$3,311,383



Section III – Notes to the Financial Statements

Paragraph 80(j): The amount of revenue recognized for the support provided by non-employer contributing entities for the participating employers is provided in Schedule B.

Paragraphs 81(a)-(b): CMC was not required to supply this information.



Section IV – Pension Expense

As noted earlier, the collective Pension Expense (PE) consists of a number of different items. GASB 68 refers to the first as Service Cost which is the Normal Cost using the Entry Age Normal actuarial funding method. The second item is interest on the beginning Total Pension Liability (TPL) and the cash flow during the year at the SEIR rate of return in effect as of the previous measurement date.

The next three items refer to any changes that occurred in the TPL due to:

- benefit changes, or
- actual versus expected experience, or
- changes in actuarial assumptions or other inputs.

Benefit changes, which are reflected immediately in PE, can be positive, if there is a benefit improvement for existing Plan members, or negative if there is a benefit reduction. For the year ended June 30, 2020, there were no benefit changes to be recognized.

The next item to be recognized is the portion of current year changes in TPL due to actual versus expected Plan experience for the year. The portion to recognize in the current year is determined by spreading the total change over the average expected remaining service life of the entire Plan membership determined at the beginning of the year. The average expected remaining service life of active members is the average number of years the active members are expected to remain active. For the year ended June 30, 2021, the average expected remaining service life for the active members is 10.5 years. The average expected remaining service life of the inactive members is zero. The number of years to use for the amortization is the weighted average for all active and inactive members, or 4.1 years.

The last item under changes in TPL are changes in actuarial assumptions or other inputs. There was a change in assumptions or other inputs since the last measurement date due to the change in discount rate. Changes in actuarial assumptions or other inputs are recognized over the average expected remaining service life of the plan membership.

Member contributions for the year and projected earnings on the Fiduciary Net Position (FNP), again at the discount rate used to calculate the liabilities, are subtracted from the amount determined thus far. One-fifth of current period differences between projected and actual investment earnings on the FNP are recognized in the pension expense.

The current year portions of previously determined experience, assumption and earnings amounts, recognized as deferred outflows and inflows (see Section V) are included also. Deferred outflows are added to the PE while deferred inflows are subtracted from the PE. Finally, administrative expenses and other miscellaneous items are included.



Section IV – Pension Expense

The calculation of the Collective Pension Expense determined as of the measurement date is shown in the following table:

Collective Pension Expense Determined as of the Measurement Date (\$ thousands)	
Service Cost at end of year	\$563,188
Interest on the TPL and net cash flow	2,581,630
Current-period benefit changes	0
Expensed portion of current-period difference between expected and actual experience in the total pension liability	7,921
Expensed portion of current-period changes of assumptions or other inputs	749,475
Member contributions	(327,833)
Projected earnings on plan investments	(1,523,835)
Expensed portion of current-period differences between projected and actual earnings on plan investments	(898,670)
Administrative expense	12,602
Other	(56,704)
Recognition of beginning deferred outflows of resources as pension expense	404,671
Recognition of beginning deferred inflows of resources as pension expense	<u>(3,641,440)</u>
Collective Pension Expense	<u>(\$2,128,995)</u>



Section V – Required Supplemental Information

Paragraphs 82:

Changes of benefit terms.

- None.

Changes of assumptions.

- In 2014, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.16% to 5.23%.
- In 2015, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.23% to 4.88%.
- In the 2016 valuation, rates of withdrawal, retirement, disability and mortality were adjusted to more closely reflect actual experience. In the 2016 valuation, the Assumed Salary Scale, Price Inflation, and Wage Inflation were adjusted to reflect a decrease. In addition, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.88% to 4.20%.
- In 2017, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.20% to 4.49%.
- In 2018, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.49% to 7.50%.
- In the 2020 experience study, rates of withdrawal, retirement, disability, mortality, and rates of salary increases were adjusted to reflect actual experience more closely. The expectation of mortality was changed to the Pub2010 Mortality Tables (Teachers Benefit-Weighted) projected generationally with MP-2020 with various set forwards, set-backs, and adjustments for each of the groups; service retirees, contingent annuitants, disabled retirees, and actives. The assumed long-term investment rate of return was changed from 7.50 percent to 7.10 percent and the price inflation assumption was lowered from 3.00 percent to 2.50 percent. In addition, the calculation of the SEIR results in an assumption change from 7.50% to 7.10%.

Schedule A – Schedule of Employer Allocations as of June 30, 2021



Code	University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
263	Eastern Kentucky University	\$ 7,483,036	\$ 7,900,068	\$ 15,383,104	14.5327%	15.3428%	29.8755%
266	Kentucky State University	1,928,102	2,035,556	3,963,658	3.7445%	3.9532%	7.6977%
269	Morehead State University	3,799,344	4,011,083	7,810,427	7.3786%	7.7898%	15.1684%
270	Murray State University	3,935,128	4,154,434	8,089,562	7.6423%	8.0682%	15.7105%
273	Western Kentucky University	5,905,385	6,234,494	12,139,879	11.4687%	12.1079%	23.5766%
500	KCTCS Central Office - University	<u>1,996,635</u>	<u>2,107,908</u>	<u>4,104,543</u>	<u>3.8776%</u>	<u>4.0937%</u>	<u>7.9713%</u>
	Total University Contributions	\$ 25,047,630	\$ 26,443,543	\$ 51,491,173	48.6444%	51.3556%	100.0000%

Schedule A (continued)



Code	Non-University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
400	KCTCS Central Office	\$ 1,341,276	\$ 1,945,717	\$ 3,286,993	0.1291%	0.1873%	0.3164%
801	KY High School Athletic Association	15,737	22,829	38,566	0.0014%	0.0023%	0.0037%
805	KY School Boards Association	150,446	218,244	368,690	0.0145%	0.0210%	0.0355%
806	KY Education Association	24,795	35,969	60,764	0.0024%	0.0035%	0.0059%
807	KY Academic Association	16,030	23,254	39,284	0.0015%	0.0022%	0.0037%
809	Jefferson County Teachers' Association	7,196	10,439	17,635	0.0007%	0.0010%	0.0017%
		\$ 1,555,480	\$ 2,256,452	\$ 3,811,932	0.1496%	0.2173%	0.3669%

Code	State Agencies	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
301	Technical Education District - Madisonville	\$ 717,655	\$ 1,041,063	\$ 1,758,718	0.0691%	0.1002%	0.1693%
302	Technical Education District - Bowling Green	787,896	1,142,958	1,930,854	0.0758%	0.1100%	0.1858%
303	Technical Education District - Elizabethtown	-	-	-	0.0000%	0.0000%	0.0000%
304	Technical Education District - Frankfort	626,731	909,165	1,535,896	0.0603%	0.0875%	0.1478%
305	Technical Education District - Hazard	705,255	1,023,075	1,728,330	0.0679%	0.0985%	0.1664%
308	Adult Education - Workforce Investment	25,507	37,002	62,509	0.0025%	0.0036%	0.0061%
316	Office of Career and Technical Education	259,222	376,039	635,261	0.0250%	0.0362%	0.0612%
318	Department for Vocational Rehabilitation	1,255,915	1,821,888	3,077,803	0.1209%	0.1754%	0.2963%
320	School for the Blind	232,782	337,684	570,466	0.0224%	0.0325%	0.0549%
330	School for the Deaf	301,512	437,387	738,899	0.0290%	0.0421%	0.0711%
345	Department of Education	1,856,823	2,693,593	4,550,416	0.1787%	0.2593%	0.4380%
728	Department of Corrections	7,489	10,864	18,353	0.0007%	0.0010%	0.0017%
		\$ 6,776,787	\$ 9,830,718	\$ 16,607,505	0.6523%	0.9463%	1.5986%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
1	Adair County Schools	\$ -	\$ 3,265,951	\$ 3,265,951	0.0000%	0.3144%	0.3144%
2	Allen County Schools	-	4,013,511	4,013,511	0.0000%	0.3864%	0.3864%
3	Anderson County Schools	-	5,102,023	5,102,023	0.0000%	0.4912%	0.4912%
4	Ballard County Schools	-	1,541,260	1,541,260	0.0000%	0.1484%	0.1484%
5	Barren County Schools	-	6,639,582	6,639,582	0.0000%	0.6392%	0.6392%
6	Bath County Schools	-	2,469,880	2,469,880	0.0000%	0.2378%	0.2378%
7	Bell County Schools	-	2,354,742	2,354,742	0.0000%	0.2267%	0.2267%
8	Boone County Schools	-	34,014,441	34,014,441	0.0000%	3.2745%	3.2745%
9	Bourbon County Schools	-	3,546,527	3,546,527	0.0000%	0.3414%	0.3414%
10	Boyd County Schools	-	4,912,649	4,912,649	0.0000%	0.4729%	0.4729%
11	Boyle County Schools	-	4,547,375	4,547,375	0.0000%	0.4378%	0.4378%
12	Bracken County Schools	-	1,707,595	1,707,595	0.0000%	0.1644%	0.1644%
13	Breathitt County Schools	-	2,288,248	2,288,248	0.0000%	0.2203%	0.2203%
14	Breckinridge County Schools	-	3,546,747	3,546,747	0.0000%	0.3414%	0.3414%
15	Bullitt County Schools	-	19,188,997	19,188,997	0.0000%	1.8473%	1.8473%
16	Butler County Schools	-	2,768,004	2,768,004	0.0000%	0.2665%	0.2665%
17	Caldwell County Schools	-	2,283,767	2,283,767	0.0000%	0.2199%	0.2199%
18	Calloway County Schools	-	4,110,145	4,110,145	0.0000%	0.3957%	0.3957%
19	Campbell County Schools	-	7,495,067	7,495,067	0.0000%	0.7215%	0.7215%
20	Carlisle County Schools	-	1,025,441	1,025,441	0.0000%	0.0987%	0.0987%
21	Carroll County Schools	-	3,018,244	3,018,244	0.0000%	0.2906%	0.2906%
22	Carter County Schools	-	5,324,787	5,324,787	0.0000%	0.5126%	0.5126%
23	Casey County Schools	-	2,780,939	2,780,939	0.0000%	0.2677%	0.2677%
24	Christian County Schools	-	10,487,775	10,487,775	0.0000%	1.0096%	1.0096%
25	Clark County Schools	-	7,665,013	7,665,013	0.0000%	0.7379%	0.7379%
26	Clay County Schools	-	4,115,363	4,115,363	0.0000%	0.3962%	0.3962%
27	Clinton County Schools	-	2,099,763	2,099,763	0.0000%	0.2021%	0.2021%
28	Crittenden County Schools	-	1,689,143	1,689,143	0.0000%	0.1626%	0.1626%
29	Cumberland County Schools	-	1,260,021	1,260,021	0.0000%	0.1213%	0.1213%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
30	Daviess County Schools	-	16,761,717	16,761,717	0.0000%	1.6136%	1.6136%
31	Edmonson County Schools	-	2,410,371	2,410,371	0.0000%	0.2320%	0.2320%
32	Elliott County Schools	-	1,463,145	1,463,145	0.0000%	0.1409%	0.1409%
33	Estill County Schools	-	2,906,225	2,906,225	0.0000%	0.2798%	0.2798%
34	Fayette County Schools	-	80,832,407	80,832,407	0.0000%	7.7815%	7.7815%
35	Fleming County Schools	-	2,823,782	2,823,782	0.0000%	0.2718%	0.2718%
36	Floyd County Schools	-	5,165,412	5,165,412	0.0000%	0.4973%	0.4973%
37	Franklin County Schools	-	9,501,738	9,501,738	0.0000%	0.9147%	0.9147%
38	Fulton County Schools	-	887,709	887,709	0.0000%	0.0855%	0.0855%
39	Gallatin County Schools	-	2,240,564	2,240,564	0.0000%	0.2157%	0.2157%
40	Garrard County Schools	-	3,537,673	3,537,673	0.0000%	0.3406%	0.3406%
41	Grant County Schools	-	4,742,875	4,742,875	0.0000%	0.4566%	0.4566%
42	Graves County Schools	-	5,285,002	5,285,002	0.0000%	0.5088%	0.5088%
43	Grayson County Schools	-	4,800,024	4,800,024	0.0000%	0.4621%	0.4621%
44	Green County Schools	-	2,432,581	2,432,581	0.0000%	0.2342%	0.2342%
45	Greenup County Schools	-	3,883,025	3,883,025	0.0000%	0.3738%	0.3738%
46	Hancock County Schools	-	2,394,557	2,394,557	0.0000%	0.2305%	0.2305%
47	Hardin County Schools	-	20,834,012	20,834,012	0.0000%	2.0056%	2.0056%
48	Harlan County Schools	-	4,390,208	4,390,208	0.0000%	0.4226%	0.4226%
49	Harrison County Schools	-	3,652,046	3,652,046	0.0000%	0.3516%	0.3516%
50	Hart County Schools	-	3,287,547	3,287,547	0.0000%	0.3165%	0.3165%
51	Henderson County Schools	-	10,171,220	10,171,220	0.0000%	0.9791%	0.9791%
52	Henry County Schools	-	2,876,397	2,876,397	0.0000%	0.2769%	0.2769%
53	Hickman County Schools	-	1,212,808	1,212,808	0.0000%	0.1168%	0.1168%
54	Hopkins County Schools	-	8,610,724	8,610,724	0.0000%	0.8289%	0.8289%
55	Jackson County Schools	-	2,870,524	2,870,524	0.0000%	0.2763%	0.2763%
56	Jefferson County Schools	-	203,222,023	203,222,023	0.0000%	19.5629%	19.5629%
57	Jessamine County Schools	-	12,575,318	12,575,318	0.0000%	1.2106%	1.2106%
58	Johnson County Schools	-	4,765,389	4,765,389	0.0000%	0.4587%	0.4587%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
59	Kenton County Schools	-	20,366,008	20,366,008	0.0000%	1.9606%	1.9606%
60	Knott Counts Schools	-	3,031,509	3,031,509	0.0000%	0.2918%	0.2918%
61	Knox County Schools	-	5,883,053	5,883,053	0.0000%	0.5663%	0.5663%
62	Larue County Schools	-	3,381,161	3,381,161	0.0000%	0.3255%	0.3255%
63	Laurel County Schools	-	11,480,871	11,480,871	0.0000%	1.1052%	1.1052%
64	Lawrence County Schools	-	3,564,860	3,564,860	0.0000%	0.3432%	0.3432%
65	Lee County Schools	-	1,029,579	1,029,579	0.0000%	0.0991%	0.0991%
66	Leslie County Schools	-	2,156,042	2,156,042	0.0000%	0.2076%	0.2076%
67	Letcher County Schools	-	4,210,210	4,210,210	0.0000%	0.4053%	0.4053%
68	Lewis County Schools	-	2,726,945	2,726,945	0.0000%	0.2625%	0.2625%
69	Lincoln County Schools	-	4,439,299	4,439,299	0.0000%	0.4274%	0.4274%
70	Livingston County Schools	-	1,679,580	1,679,580	0.0000%	0.1617%	0.1617%
71	Logan County Schools	-	4,638,418	4,638,418	0.0000%	0.4465%	0.4465%
72	Lyon County Schools	-	1,196,804	1,196,804	0.0000%	0.1152%	0.1152%
73	Madison County Schools	-	14,315,420	14,315,420	0.0000%	1.3781%	1.3781%
74	Magoffin County Schools	-	2,356,859	2,356,859	0.0000%	0.2269%	0.2269%
75	Marion County Schools	-	4,878,870	4,878,870	0.0000%	0.4697%	0.4697%
76	Marshall County Schools	-	6,560,736	6,560,736	0.0000%	0.6316%	0.6316%
77	Martin County Schools	-	1,863,820	1,863,820	0.0000%	0.1794%	0.1794%
78	Mason County Schools	-	3,821,447	3,821,447	0.0000%	0.3679%	0.3679%
79	McCracken County Schools	-	9,968,757	9,968,757	0.0000%	0.9597%	0.9597%
80	McCreary County Schools	-	3,663,230	3,663,230	0.0000%	0.3526%	0.3526%
81	McLean County Schools	-	2,164,098	2,164,098	0.0000%	0.2083%	0.2083%
82	Meade County Schools	-	6,102,807	6,102,807	0.0000%	0.5875%	0.5875%
83	Menifee County Schools	-	1,374,386	1,374,386	0.0000%	0.1323%	0.1323%
84	Mercer County Schools	-	4,126,581	4,126,581	0.0000%	0.3973%	0.3973%
85	Metcalf County Schools	-	1,701,045	1,701,045	0.0000%	0.1638%	0.1638%
86	Monroe County Schools	-	2,542,878	2,542,878	0.0000%	0.2448%	0.2448%
87	Montgomery County Schools	-	5,409,467	5,409,467	0.0000%	0.5208%	0.5208%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
88	Morgan County Schools	-	2,512,304	2,512,304	0.0000%	0.2419%	0.2419%
89	Muhlenberg County Schools	-	6,044,277	6,044,277	0.0000%	0.5819%	0.5819%
90	Nelson County Schools	-	6,747,821	6,747,821	0.0000%	0.6496%	0.6496%
91	Nicholas County Schools	-	1,152,052	1,152,052	0.0000%	0.1109%	0.1109%
92	Ohio County Schools	-	4,714,408	4,714,408	0.0000%	0.4538%	0.4538%
93	Oldham County Schools	-	19,387,147	19,387,147	0.0000%	1.8663%	1.8663%
94	Owen County Schools	-	2,220,755	2,220,755	0.0000%	0.2138%	0.2138%
95	Owsley County Schools	-	894,274	894,274	0.0000%	0.0861%	0.0861%
96	Pendleton County Schools	-	2,710,602	2,710,602	0.0000%	0.2609%	0.2609%
97	Perry County Schools	-	4,803,850	4,803,850	0.0000%	0.4624%	0.4624%
98	Pike County Schools	-	10,802,392	10,802,392	0.0000%	1.0399%	1.0399%
99	Powell County Schools	-	2,944,758	2,944,758	0.0000%	0.2835%	0.2835%
100	Pulaski County Schools	-	10,428,262	10,428,262	0.0000%	1.0039%	1.0039%
101	Robertson County Schools	-	526,207	526,207	0.0000%	0.0507%	0.0507%
102	Rockcastle County Schools	-	3,790,776	3,790,776	0.0000%	0.3649%	0.3649%
103	Rowan County Schools	-	3,902,301	3,902,301	0.0000%	0.3757%	0.3757%
104	Russell County Schools	-	3,691,023	3,691,023	0.0000%	0.3553%	0.3553%
105	Scott County Schools	-	13,891,955	13,891,955	0.0000%	1.3373%	1.3373%
106	Shelby County Schools	-	10,951,524	10,951,524	0.0000%	1.0543%	1.0543%
107	Simpson County Schools	-	4,280,460	4,280,460	0.0000%	0.4121%	0.4121%
108	Spencer County Schools	-	4,191,509	4,191,509	0.0000%	0.4035%	0.4035%
109	Taylor County Schools	-	3,538,044	3,538,044	0.0000%	0.3406%	0.3406%
110	Todd County Schools	-	2,324,817	2,324,817	0.0000%	0.2238%	0.2238%
111	Trigg County Schools	-	3,013,187	3,013,187	0.0000%	0.2901%	0.2901%
112	Trimble County Schools	-	1,492,475	1,492,475	0.0000%	0.1437%	0.1437%
113	Union County Schools	-	3,001,124	3,001,124	0.0000%	0.2889%	0.2889%
114	Warren County Schools	-	21,955,148	21,955,148	0.0000%	2.1135%	2.1135%
115	Washington County Schools	-	2,448,770	2,448,770	0.0000%	0.2357%	0.2357%
116	Wayne County Schools	-	3,975,422	3,975,422	0.0000%	0.3827%	0.3827%

Schedule A (continued)



Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
117	Webster County Schools	-	2,868,404	2,868,404	0.0000%	0.2761%	0.2761%
118	Whitley County Schools	-	5,531,797	5,531,797	0.0000%	0.5325%	0.5325%
119	Wolfe County Schools	-	1,898,886	1,898,886	0.0000%	0.1828%	0.1828%
120	Woodford County Schools	-	5,999,627	5,999,627	0.0000%	0.5776%	0.5776%
122	Anchorage City Schools	-	1,233,683	1,233,683	0.0000%	0.1188%	0.1188%
124	Ashland City Schools	-	3,814,750	3,814,750	0.0000%	0.3672%	0.3672%
125	Augusta City Schools	-	480,289	480,289	0.0000%	0.0462%	0.0462%
126	Barbourville City Schools	-	920,747	920,747	0.0000%	0.0886%	0.0886%
127	Bardstown City Schools	-	4,509,689	4,509,689	0.0000%	0.4341%	0.4341%
128	Beechwood Independent Schools	-	2,204,817	2,204,817	0.0000%	0.2123%	0.2123%
129	Bellevue City Schools	-	1,032,604	1,032,604	0.0000%	0.0994%	0.0994%
131	Berea City Schools	-	1,720,608	1,720,608	0.0000%	0.1656%	0.1656%
134	Bowling Green City Schools	-	6,382,943	6,382,943	0.0000%	0.6145%	0.6145%
136	Burgin City Schools	-	798,217	798,217	0.0000%	0.0768%	0.0768%
140	Campbellsville City Schools	-	1,706,770	1,706,770	0.0000%	0.1643%	0.1643%
144	Caverna City Schools	-	1,095,720	1,095,720	0.0000%	0.1055%	0.1055%
147	Cloverport City Schools	-	479,990	479,990	0.0000%	0.0462%	0.0462%
150	Corbin City Schools	-	3,968,860	3,968,860	0.0000%	0.3821%	0.3821%
151	Covington City Schools	-	6,607,424	6,607,424	0.0000%	0.6361%	0.6361%
154	Danville City Schools	-	3,312,409	3,312,409	0.0000%	0.3189%	0.3189%
155	Dawson Springs City Schools	-	892,929	892,929	0.0000%	0.0860%	0.0860%
156	Dayton City Schools	-	1,478,518	1,478,518	0.0000%	0.1423%	0.1423%
158	East Bernstadt City Schools	-	719,912	719,912	0.0000%	0.0693%	0.0693%
160	Elizabethtown City Schools	-	3,673,311	3,673,311	0.0000%	0.3536%	0.3536%
161	Eminence Independent Schools	-	1,332,926	1,332,926	0.0000%	0.1283%	0.1283%
162	Erlanger-Elsmere City Schools	-	3,838,487	3,838,487	0.0000%	0.3695%	0.3695%
163	Fairview Independent Schools	-	814,390	814,390	0.0000%	0.0784%	0.0784%
166	Fort Thomas Independent Schools	-	5,257,250	5,257,250	0.0000%	0.5061%	0.5061%
167	Frankfort City Schools	-	1,253,888	1,253,888	0.0000%	0.1207%	0.1207%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
170	Fulton City Schools	-	445,425	445,425	0.0000%	0.0429%	0.0429%
173	Glasgow City Schools	-	3,387,192	3,387,192	0.0000%	0.3261%	0.3261%
180	Harlan City Schools	-	916,645	916,645	0.0000%	0.0882%	0.0882%
182	Hazard Independent Schools	-	1,412,698	1,412,698	0.0000%	0.1360%	0.1360%
190	Jackson City Schools	-	378,094	378,094	0.0000%	0.0364%	0.0364%
191	Jenkins City Schools	-	635,294	635,294	0.0000%	0.0612%	0.0612%
206	Ludlow City Schools	-	1,376,170	1,376,170	0.0000%	0.1325%	0.1325%
210	Mayfield City Schools	-	2,331,216	2,331,216	0.0000%	0.2244%	0.2244%
214	Middlesboro City Schools	-	1,599,855	1,599,855	0.0000%	0.1540%	0.1540%
221	Murray City Schools	-	2,531,591	2,531,591	0.0000%	0.2437%	0.2437%
222	Newport City Schools	-	3,095,745	3,095,745	0.0000%	0.2980%	0.2980%
224	Owensboro City Schools	-	8,379,811	8,379,811	0.0000%	0.8067%	0.8067%
226	Paducah City Schools	-	4,468,646	4,468,646	0.0000%	0.4302%	0.4302%
227	Paintsville City Schools	-	1,193,155	1,193,155	0.0000%	0.1149%	0.1149%
228	Paris City Schools	-	1,059,077	1,059,077	0.0000%	0.1020%	0.1020%
230	Pikeville City Schools	-	2,099,284	2,099,284	0.0000%	0.2021%	0.2021%
231	Pineville City Schools	-	757,550	757,550	0.0000%	0.0729%	0.0729%
235	Raceland City Schools	-	1,408,006	1,408,006	0.0000%	0.1355%	0.1355%
238	Russell City Schools	-	3,504,242	3,504,242	0.0000%	0.3373%	0.3373%
239	Russellville City Schools	-	1,468,429	1,468,429	0.0000%	0.1414%	0.1414%
240	Science Hill City Schools	-	583,394	583,394	0.0000%	0.0562%	0.0562%
246	Somerset City Schools	-	2,304,689	2,304,689	0.0000%	0.2219%	0.2219%
247	Southgate City Schools	-	372,868	372,868	0.0000%	0.0359%	0.0359%
258	Walton-Verona Independent Schools	-	2,694,953	2,694,953	0.0000%	0.2594%	0.2594%
259	West Point City Schools	-	-	-	0.0000%	0.0000%	0.0000%
260	Williamsburg City Schools	-	1,060,944	1,060,944	0.0000%	0.1021%	0.1021%
261	Williamstown City Schools	-	1,069,348	1,069,348	0.0000%	0.1029%	0.1029%
870	Ohio Valley Educational Cooperative	-	765,959	765,959	0.0000%	0.0737%	0.0737%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
871	West Kentucky Educational Cooperative	-	365,406	365,406	0.0000%	0.0352%	0.0352%
872	Southeast South-Central Educational Cooperative	-	169,928	169,928	0.0000%	0.0164%	0.0164%
890	Green River Regional Educational Cooperative	-	244,593	244,593	0.0000%	0.0235%	0.0235%
891	Central KY Special Education Cooperative	-	78,037	78,037	0.0000%	0.0075%	0.0075%
892	KY Valley Educational Cooperative	-	320,841	320,841	0.0000%	0.0309%	0.0309%
894	KY Educational Development Corporation	-	763,213	763,213	0.0000%	0.0735%	0.0735%
895	Northern KY Cooperative for Educational Services	-	518,940	518,940	0.0000%	0.0500%	0.0500%
		\$ -	\$1,018,363,490	1,018,363,490	0.0000%	98.0345%	98.0345%
	Total Non-University Contributions	<u>8,332,267</u>	<u>1,030,450,660</u>	<u>1,038,782,927</u>	<u>0.8019%</u>	<u>99.1981%</u>	<u>100.0000%</u>



Schedule B – Schedule of Pension Amounts by Employer as of and for the fiscal year ended June 30, 2021

Code	Employer				Deferred Outflows of Resources				
		June 30, 2021			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability					
<u>University Employers</u>									
263	Eastern Kentucky University	\$ 86,071,894	\$ 90,868,704	\$ 176,940,598	\$ (1,621,397)	\$ 14,721,446	\$ -	\$ 7,821,947	\$ 20,921,996
266	Kentucky State University	22,177,547	23,413,510	45,591,057	(417,774)	3,793,173	-	2,208,195	5,583,594
269	Morehead State University	43,701,079	46,136,557	89,837,636	(823,228)	7,474,485	-	908,808	7,560,065
270	Murray State University	45,262,900	47,785,417	93,048,317	(852,649)	7,741,613	-	1,130,079	8,019,043
273	Western Kentucky University	67,925,329	71,710,828	139,636,157	(1,279,557)	11,617,718	-	463,081	10,801,242
500	KCTCS Central Office - University	22,965,834	24,245,725	47,211,559	(432,624)	3,927,999	-	123,937	3,619,312
	Total University	\$ 288,104,583	\$ 304,160,741	\$ 592,265,324	\$ (5,427,229)	\$ 49,276,434	\$ -	\$ 12,656,047	\$ 56,505,252

CodeEmployer		Deferred Inflows of Resources									
							Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
<u>University Employers</u>											
263	Eastern Kentucky University	\$ 779,670	\$ 7,599,663	\$ 21,219,877	\$ 6,933,635	\$ 36,532,845	\$ (14,779,680)	\$ (15,603,356)	\$ (30,383,036)	\$ (9,152,470)	\$ (39,535,506)
266	Kentucky State University	200,892	1,958,152	5,467,578	567,579	8,194,201	(3,808,177)	(4,020,409)	(7,828,586)	(639,156)	(8,467,742)
269	Morehead State University	395,860	3,858,559	10,773,918	3,991,415	19,019,752	(7,504,052)	(7,922,256)	(15,426,308)	(5,855,582)	(21,281,890)
270	Murray State University	410,007	3,996,459	11,158,964	6,030,907	21,596,337	(7,772,237)	(8,205,387)	(15,977,624)	(8,662,388)	(24,640,012)
273	Western Kentucky University	615,292	5,997,424	16,746,083	19,528,594	42,887,393	(11,663,675)	(12,313,696)	(23,977,371)	(19,907,662)	(43,885,033)
500	KCTCS Central Office - University	208,033	2,027,754	5,661,920	1,697,509	9,595,216	(3,943,537)	(4,163,311)	(8,106,848)	(3,145,751)	(11,252,599)
	Total University	\$ 2,609,754	\$ 25,438,011	\$ 71,028,340	\$ 38,749,639	\$ 137,825,744	\$ (49,471,358)	\$ (52,228,415)	\$ (101,699,773)	\$ (47,363,009)	\$ (149,062,782)



Schedule B (continued)

Code	Employer				Deferred Outflows of Resources				
		June 30, 2021			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's	State's						
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Total Net Pension Liability					
<u>Non-University Employers</u>									
400	KCTCS Central Office	\$ 16,803,060	\$ 24,375,108	\$ 41,178,168	\$ 89,879	\$ 2,869,142	\$ -	\$ -	\$ 2,959,021
801	KY High School Athletic Association	197,155	286,037	483,192	1,055	33,664	-	67,092	101,811
805	KY School Boards Association	1,884,748	2,734,141	4,618,889	10,081	321,823	-	11,019	342,923
806	KY Education Association	310,633	450,658	761,291	1,662	53,041	-	10,232	64,935
807	KY Academic Association	200,799	291,373	492,172	1,074	34,287	-	4,213	39,574
809	Jefferson County Teachers' Association	90,184	130,786	220,970	482	15,399	-	2,580	18,461
	Total - Other Employers	\$ 19,486,579	\$ 28,268,103	\$ 47,754,682	\$ 104,233	\$ 3,327,356	\$ -	\$ 95,136	\$ 3,526,725

		Deferred Inflows of Resources									
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	
										Share of Contributions	Total Pension Expense
Code	Employer										
<u>Non-University Employers</u>											
400	KCTCS Central Office	\$ 19,187	\$ 1,595,464	\$ 4,087,120	\$ 8,760,473	\$ 14,462,244	\$ (2,617,640)	\$ (3,797,241)	\$ (6,414,881)	\$ (11,345,650)	\$ (17,760,531)
801	KY High School Athletic Association	225	18,720	47,955	1,133,727	1,200,627	(30,713)	(44,560)	(75,273)	(454,707)	(529,980)
805	KY School Boards Association	2,152	178,958	458,440	619,251	1,258,801	(293,613)	(425,934)	(719,547)	(649,638)	(1,369,185)
806	KY Education Association	355	29,495	75,557	18,077	123,484	(48,392)	(70,205)	(118,597)	(45,313)	(163,910)
807	KY Academic Association	229	19,066	48,842	9,319	77,456	(31,281)	(45,391)	(76,672)	(30,586)	(107,258)
809	Jefferson County Teachers' Association	103	8,563	21,936	6,551	37,153	(14,049)	(20,374)	(34,423)	(13,033)	(47,456)
	Total - Other Employers	\$ 22,251	\$ 1,850,266	\$ 4,739,850	\$ 10,547,398	\$ 17,159,765	\$ (3,035,688)	\$ (4,403,705)	\$ (7,439,393)	\$ (12,538,927)	\$ (19,978,320)



Schedule B (continued)

Code	Employer				Deferred Outflows of Resources					
					Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources	
		June 30, 2021								
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability						
	<u>State Agencies</u>									
301	Technical Education District - Madisonville	\$ 8,990,522	\$ 13,042,022	\$ 22,032,544	\$ 48,090	\$ 1,535,142	\$ -	\$ 168,127	\$ 1,751,359	
302	Technical Education District - Bowling Green	9,870,497	14,318,649	24,189,146	52,797	1,685,399	-	93,392	1,831,588	
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-	
304	Technical Education District - Frankfort	7,851,449	11,389,695	19,241,144	41,997	1,340,644	-	178,267	1,560,908	
305	Technical Education District - Hazard	8,835,141	12,816,758	21,651,899	47,259	1,508,610	-	95,339	1,651,208	
308	Adult Education - Workforce Investment	319,482	463,542	783,024	1,709	54,552	-	-	56,261	
316	Office of Career and Technical Education	3,247,394	4,710,895	7,958,289	17,370	554,496	-	592,625	1,164,491	
318	Department for Vocational Rehabilitation	15,733,739	22,824,027	38,557,766	84,159	2,686,554	-	419,246	3,189,959	
320	School for the Blind	2,916,200	4,230,436	7,146,636	15,599	497,945	-	102,182	615,726	
330	School for the Deaf	3,777,305	5,479,474	9,256,779	20,205	644,979	-	1,438,734	2,103,918	
345	Department of Education	23,261,671	33,744,454	57,006,125	124,425	3,971,957	-	1,384,696	5,481,078	
728	Department of Corrections	93,827	136,121	229,948	502	16,021	-	1,217	17,740	
	Total - State Agencies	\$ 84,897,227	\$ 123,156,073	\$ 208,053,300	\$ 454,112	\$ 14,496,299	\$ -	\$ 4,473,825	\$ 19,424,236	



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions					Total Pension Expense
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense			
State Agencies												
301	Technical Education District - Madisonville	\$ 10,266	\$ 853,657	\$ 2,186,825	\$ 1,901,072	\$ 4,951,820	\$ (1,400,576)	\$ (2,031,732)	\$ (3,432,308)	\$ (1,269,342)	\$ (4,701,650)	
302	Technical Education District - Bow ling Green	11,271	937,211	2,400,867	939,789	4,289,138	(1,537,661)	(2,230,610)	(3,768,271)	(1,087,395)	(4,855,666)	
303	Technical Education District - Elizabethtow n	-	-	-	8,673	8,673	-	-	-	(1,984,808)	(1,984,808)	
304	Technical Education District - Frankfort	8,965	745,501	1,909,760	585,422	3,249,648	(1,223,126)	(1,774,327)	(2,997,453)	(1,525,833)	(4,523,286)	
305	Technical Education District - Hazard	10,089	838,903	2,149,030	1,380,711	4,378,733	(1,376,369)	(1,996,640)	(3,373,009)	(1,392,791)	(4,765,800)	
308	Adult Education - Workforce Investment	365	30,335	77,710	317,806	426,216	(49,770)	(72,212)	(121,982)	(321,784)	(443,766)	
316	Office of Career and Technical Education	3,708	308,343	789,885	319,590	1,421,526	(505,890)	(733,880)	(1,239,770)	(212,036)	(1,451,806)	
318	Department for Vocational Rehabilitation	17,966	1,493,931	3,827,022	908,205	6,247,124	(2,451,057)	(3,555,608)	(6,006,665)	(3,438,007)	(9,444,672)	
320	School for the Blind	3,330	276,895	709,327	1,876,721	2,866,273	(454,296)	(659,032)	(1,113,328)	(1,231,820)	(2,345,148)	
330	School for the Deaf	4,313	358,658	918,779	2,173,657	3,455,407	(588,442)	(853,612)	(1,442,054)	(2,052,137)	(3,494,191)	
345	Department of Education	26,562	2,208,714	5,658,092	1,999,956	9,893,324	(3,623,786)	(5,256,830)	(8,880,616)	(4,083,573)	(12,964,189)	
728	Department of Corrections	107	8,909	22,822	25,762	57,600	(14,617)	(21,205)	(35,822)	(19,608)	(55,430)	
	Total - State Agencies	\$ 96,942	\$ 8,061,057	\$ 20,650,119	\$ 12,437,364	\$ 41,245,482	\$ (13,225,590)	\$ (19,185,688)	\$ (32,411,278)	\$ (18,619,134)	\$ (51,030,412)	



Schedule B (continued)

					Deferred Outflows of Resources				
					Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
Code	Employer	Employer's Proportionate Share of Net Pension Liability	State's Proportionate Net Pension Liability	Total Net Pension Liability					
Local School Districts and Educational Cooperatives									
1	Adair County Schools	\$ -	\$ 40,914,775	\$ 40,914,775					
2	Allen County Schools	-	50,279,956	50,279,956					
3	Anderson County Schools	-	63,916,436	63,916,436					
4	Ballard County Schools	-	19,308,424	19,308,424					
5	Barren County Schools	-	83,178,401	83,178,401					
6	Bath County Schools	-	30,941,862	30,941,862					
7	Bell County Schools	-	29,499,443	29,499,443					
8	Boone County Schools	-	426,121,417	426,121,417					
9	Bourbon County Schools	-	44,429,727	44,429,727					
10	Boyd County Schools	-	61,544,071	61,544,071					
11	Boyle County Schools	-	56,967,996	56,967,996					
12	Bracken County Schools	-	21,392,149	21,392,149					
13	Breathitt County Schools	-	28,666,448	28,666,448					
14	Breckinridge County Schools	-	44,432,460	44,432,460					
15	Bullitt County Schools	-	240,393,335	240,393,335					
16	Butler County Schools	-	34,676,613	34,676,613					
17	Caldwell County Schools	-	28,610,229	28,610,229					
18	Calloway County Schools	-	51,490,474	51,490,474					
19	Campbell County Schools	-	93,895,688	93,895,688					
20	Carlisle County Schools	-	12,846,429	12,846,429					
21	Carroll County Schools	-	37,811,570	37,811,570					
22	Carter County Schools	-	66,707,186	66,707,186					
23	Casey County Schools	-	34,838,631	34,838,631					
24	Christian County Schools	-	131,387,256	131,387,256					
25	Clark County Schools	-	96,024,700	96,024,700					
26	Clay County Schools	-	51,555,932	51,555,932					
27	Clinton County Schools	-	26,305,144	26,305,144					
28	Crittenden County Schools	-	21,161,029	21,161,029					
29	Cumberland County Schools	-	15,785,142	15,785,142					
30	Daviess County Schools	-	209,985,157	209,985,157					
31	Edmonson County Schools	-	30,196,317	30,196,317					
32	Elliott County Schools	-	18,329,807	18,329,807					
33	Estill County Schools	-	36,408,192	36,408,192					
34	Fayette County Schools	-	1,012,641,135	1,012,641,135					
35	Fleming County Schools	-	35,375,439	35,375,439					
36	Floyd County Schools	-	64,710,521	64,710,521					
37	Franklin County Schools	-	119,034,560	119,034,560					
38	Fulton County Schools	-	11,120,966	11,120,966					
39	Gallatin County Schools	-	28,068,997	28,068,997					
40	Garrard County Schools	-	44,318,722	44,318,722					



Schedule B (continued)

Code	Employer	June 30, 2020			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
41	Grant County Schools	-	59,417,141	59,417,141					
42	Graves County Schools	-	66,208,768	66,208,768					
43	Grayson County Schools	-	60,133,145	60,133,145					
44	Green County Schools	-	30,474,546	30,474,546					
45	Greenup County Schools	-	48,645,198	48,645,198					
46	Hancock County Schools	-	29,998,251	29,998,251					
47	Hardin County Schools	-	261,001,419	261,001,419					
48	Harlan County Schools	-	54,999,050	54,999,050					
49	Harrison County Schools	-	45,751,641	45,751,641					
50	Hart County Schools	-	41,185,326	41,185,326					
51	Henderson County Schools	-	127,421,645	127,421,645					
52	Henry County Schools	-	36,034,574	36,034,574					
53	Hickman County Schools	-	15,193,678	15,193,678					
54	Hopkins County Schools	-	107,872,211	107,872,211					
55	Jackson County Schools	-	35,960,917	35,960,917					
56	Jefferson County Schools	-	2,545,897,736	2,545,897,736					
57	Jessamine County Schools	-	157,539,361	157,539,361					
58	Johnson County Schools	-	59,699,144	59,699,144					
59	Kenton County Schools	-	255,138,437	255,138,437					
60	Knott Counts Schools	-	37,977,753	37,977,753					
61	Knox County Schools	-	73,700,913	73,700,913					
62	Larue County Schools	-	42,358,105	42,358,105					
63	Laurel County Schools	-	143,828,443	143,828,443					
64	Law rence County Schools	-	44,659,416	44,659,416					
65	Lee County Schools	-	12,898,223	12,898,223					
66	Leslie County Schools	-	27,010,217	27,010,217					
67	Letcher County Schools	-	52,744,067	52,744,067					
68	Lewis County Schools	-	34,162,188	34,162,188					
69	Lincoln County Schools	-	55,614,069	55,614,069					
70	Livingston County Schools	-	21,041,174	21,041,174					
71	Logan County Schools	-	58,108,501	58,108,501					
72	Lyon County Schools	-	14,993,140	14,993,140					
73	Madison County Schools	-	179,338,702	179,338,702					
74	Magoffin County Schools	-	29,525,991	29,525,991					
75	Marion County Schools	-	61,120,871	61,120,871					
76	Marshall County Schools	-	82,190,675	82,190,675					
77	Martin County Schools	-	23,349,252	23,349,252					
78	Mason County Schools	-	47,873,756	47,873,756					
79	McCracken County Schools	-	124,885,179	124,885,179					
80	McCreary County Schools	-	45,891,666	45,891,666					



Schedule B (continued)

Code	Employer	June 30, 2020			Deferred Outflows of Resources				
		Employer's	State's	Total	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Net Pension Liability					
81	McLean County Schools	-	27,111,071	27,111,071					
82	Meade County Schools	-	76,453,924	76,453,924					
83	Menifee County Schools	-	17,217,801	17,217,801					
84	Mercer County Schools	-	51,696,478	51,696,478					
85	Metcalfe County Schools	-	21,310,164	21,310,164					
86	Monroe County Schools	-	31,856,322	31,856,322					
87	Montgomery County Schools	-	67,767,918	67,767,918					
88	Morgan County Schools	-	31,473,334	31,473,334					
89	Muhlenberg County Schools	-	75,720,612	75,720,612					
90	Nelson County Schools	-	84,534,410	84,534,410					
91	Nicholas County Schools	-	14,432,517	14,432,517					
92	Ohio County Schools	-	59,060,570	59,060,570					
93	Oldham County Schools	-	242,875,664	242,875,664					
94	Owen County Schools	-	27,820,829	27,820,829					
95	Owsley County Schools	-	11,203,211	11,203,211					
96	Pendleton County Schools	-	33,957,486	33,957,486					
97	Perry County Schools	-	60,181,035	60,181,035					
98	Pike County Schools	-	135,328,791	135,328,791					
99	Powell County Schools	-	36,890,994	36,890,994					
100	Pulaski County Schools	-	130,641,711	130,641,711					
101	Robertson County Schools	-	6,592,130	6,592,130					
102	Rockcastle County Schools	-	47,489,597	47,489,597					
103	Rowan County Schools	-	48,886,729	48,886,729					
104	Russell County Schools	-	46,239,908	46,239,908					
105	Scott County Schools	-	174,033,740	174,033,740					
106	Shelby County Schools	-	137,197,013	137,197,013					
107	Simpson County Schools	-	53,624,171	53,624,171					
108	Spencer County Schools	-	52,509,823	52,509,823					
109	Taylor County Schools	-	44,323,407	44,323,407					
110	Todd County Schools	-	29,124,524	29,124,524					
111	Trigg County Schools	-	37,748,194	37,748,194					
112	Trimble County Schools	-	18,697,178	18,697,178					
113	Union County Schools	-	37,597,107	37,597,107					
114	Warren County Schools	-	275,046,653	275,046,653					
115	Washington County Schools	-	30,677,427	30,677,427					
116	Wayne County Schools	-	49,802,750	49,802,750					
117	Webster County Schools	-	35,934,370	35,934,370					
118	Whitley County Schools	-	69,300,521	69,300,521					
119	Wolfe County Schools	-	23,788,589	23,788,589					
120	Woodford County Schools	-	75,161,291	75,161,291					



Schedule B (continued)

Code	Employer	June 30, 2020			Deferred Outflows of Resources				
		Employer's	State's	Total	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of	Total Deferred Outflows of Resources
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Net Pension Liability					
122	Anchorage City Schools	-	15,455,120	15,455,120					
124	Ashland City Schools	-	47,789,949	47,789,949					
125	Augusta City Schools	-	6,016,932	6,016,932					
126	Barbourville City Schools	-	11,534,796	11,534,796					
127	Bardstown City Schools	-	56,495,865	56,495,865					
128	Beechwood Independent Schools	-	27,621,201	27,621,201					
129	Bellevue City Schools	-	12,936,092	12,936,092					
131	Berea City Schools	-	21,555,208	21,555,208					
134	Bowling Green City Schools	-	79,963,411	79,963,411					
136	Burgin City Schools	-	9,999,851	9,999,851					
140	Campbellsville City Schools	-	21,381,868	21,381,868					
144	Caverna City Schools	-	13,726,794	13,726,794					
147	Cloverport City Schools	-	6,013,158	6,013,158					
150	Corbin City Schools	-	49,720,505	49,720,505					
151	Covington City Schools	-	82,775,633	82,775,633					
154	Danville City Schools	-	41,496,740	41,496,740					
155	Dawson Springs City Schools	-	11,186,294	11,186,294					
156	Dayton City Schools	-	18,522,407	18,522,407					
158	East Bernstadt City Schools	-	9,018,761	9,018,761					
160	Elizabethtown City Schools	-	46,018,028	46,018,028					
161	Eminence Independent Schools	-	16,698,431	16,698,431					
162	Erlanger-Elsmere City Schools	-	48,087,308	48,087,308					
163	Fairview Independent Schools	-	10,202,341	10,202,341					
166	Fort Thomas Independent Schools	-	65,861,047	65,861,047					
167	Frankfort City Schools	-	15,708,233	15,708,233					
170	Fulton City Schools	-	5,580,198	5,580,198					
173	Glasgow City Schools	-	42,433,583	42,433,583					
180	Harlan City Schools	-	11,483,392	11,483,392					
182	Hazard Independent Schools	-	17,697,740	17,697,740					
190	Jackson City Schools	-	4,736,662	4,736,662					
191	Jenkins City Schools	-	7,958,810	7,958,810					
206	Ludlow City Schools	-	17,240,184	17,240,184					
210	Mayfield City Schools	-	29,204,687	29,204,687					
214	Middlesboro City Schools	-	20,042,386	20,042,386					
221	Murray City Schools	-	31,714,865	31,714,865					
222	Newport City Schools	-	38,782,509	38,782,509					
224	Owensboro City Schools	-	104,979,435	104,979,435					
226	Paducah City Schools	-	55,981,701	55,981,701					
227	Paintsville City Schools	-	14,947,462	14,947,462					
228	Paris City Schools	-	13,267,807	13,267,807					



Schedule B (continued)

Code	Employer	June 30, 2020			Deferred Outflows of Resources					
		Employer's	State's	Total	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources	
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Net Pension Liability						
230	Pikeville City Schools	-	26,299,158	26,299,158						
231	Pineville City Schools	-	9,490,372	9,490,372						
235	Raceland City Schools	-	17,639,049	17,639,049						
238	Russell City Schools	-	43,899,947	43,899,947						
239	Russellville City Schools	-	18,396,045	18,396,045						
240	Science Hill City Schools	-	7,308,524	7,308,524						
246	Somerset City Schools	-	28,872,321	28,872,321						
247	Southgate City Schools	-	4,671,204	4,671,204						
258	Walton-Verona Independent Schools	-	33,761,502	33,761,502						
259	West Point City Schools	-	-	-						
260	Williamsburg City Schools	-	13,291,101	13,291,101						
261	Williamstown City Schools	-	13,396,380	13,396,380						
870	Ohio Valley Educational Cooperative	-	9,595,651	9,595,651						
871	West Kentucky Educational Cooperative	-	4,577,637	4,577,637						
872	Southeast South-Central Educational Cooperative	-	2,128,752	2,128,752						
890	Green River Regional Educational Cooperative	-	3,064,164	3,064,164						
891	Central KY Special Education Cooperative	-	977,576	977,576						
892	KY Valley Educational Cooperative	-	4,019,357	4,019,357						
894	KY Educational Development Corporation	-	9,561,295	9,561,295						
895	Northern KY Cooperative for Educational Services	-	6,501,165	6,501,165						
	Total - Local School Districts	\$ -	\$ 12,757,715,783	\$ 12,757,715,783						
	Total Non University	\$ 104,383,806	\$ 12,909,139,959	\$ 13,013,523,765	\$ 558,345	\$ 17,823,655	\$ -	\$ 4,568,961	\$ 22,950,961	
	State's Proportionate Share of Outflow s/Inflow s				\$ 63,320,563	\$ 2,256,272,791	\$ -	\$ 50,345,710	\$ 2,369,939,064	



Schedule B (continued)

CodeEmployer		Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions									
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense					
Local School Districts and Educational Cooperatives																
1	Adair County Schools						\$	-	\$	(6,373,848)	\$	(6,373,848)	\$	-	\$	(6,373,848)
2	Allen County Schools							-		(7,832,789)		(7,832,789)		-		(7,832,789)
3	Anderson County Schools							-		(9,957,128)		(9,957,128)		-		(9,957,128)
4	Ballard County Schools							-		(3,007,934)		(3,007,934)		-		(3,007,934)
5	Barren County Schools							-		(12,957,825)		(12,957,825)		-		(12,957,825)
6	Bath County Schools							-		(4,820,233)		(4,820,233)		-		(4,820,233)
7	Bell County Schools							-		(4,595,528)		(4,595,528)		-		(4,595,528)
8	Boone County Schools							-		(66,382,701)		(66,382,701)		-		(66,382,701)
9	Bourbon County Schools							-		(6,921,420)		(6,921,420)		-		(6,921,420)
10	Boyd County Schools							-		(9,587,553)		(9,587,553)		-		(9,587,553)
11	Boyle County Schools							-		(8,874,676)		(8,874,676)		-		(8,874,676)
12	Bracken County Schools							-		(3,332,545)		(3,332,545)		-		(3,332,545)
13	Breathitt County Schools							-		(4,465,761)		(4,465,761)		-		(4,465,761)
14	Breckinridge County Schools							-		(6,921,846)		(6,921,846)		-		(6,921,846)
15	Bullitt County Schools							-		(37,449,324)		(37,449,324)		-		(37,449,324)
16	Butler County Schools							-		(5,402,045)		(5,402,045)		-		(5,402,045)
17	Caldwell County Schools							-		(4,457,003)		(4,457,003)		-		(4,457,003)
18	Calloway County Schools							-		(8,021,368)		(8,021,368)		-		(8,021,368)
19	Campbell County Schools							-		(14,627,402)		(14,627,402)		-		(14,627,402)
20	Carlisle County Schools							-		(2,001,262)		(2,001,262)		-		(2,001,262)
21	Carroll County Schools							-		(5,890,420)		(5,890,420)		-		(5,890,420)
22	Carter County Schools							-		(10,391,881)		(10,391,881)		-		(10,391,881)
23	Casey County Schools							-		(5,427,285)		(5,427,285)		-		(5,427,285)
24	Christian County Schools							-		(20,467,971)		(20,467,971)		-		(20,467,971)
25	Clark County Schools							-		(14,959,067)		(14,959,067)		-		(14,959,067)
26	Clay County Schools							-		(8,031,565)		(8,031,565)		-		(8,031,565)
27	Clinton County Schools							-		(4,097,908)		(4,097,908)		-		(4,097,908)
28	Crittenden County Schools							-		(3,296,540)		(3,296,540)		-		(3,296,540)
29	Cumberland County Schools							-		(2,459,065)		(2,459,065)		-		(2,459,065)
30	Daviess County Schools							-		(32,712,230)		(32,712,230)		-		(32,712,230)
31	Edmonson County Schools							-		(4,704,089)		(4,704,089)		-		(4,704,089)
32	Elliott County Schools							-		(2,855,482)		(2,855,482)		-		(2,855,482)
33	Estill County Schools							-		(5,671,797)		(5,671,797)		-		(5,671,797)
34	Fayette County Schools							-		(157,752,816)		(157,752,816)		-		(157,752,816)
35	Fleming County Schools							-		(5,510,911)		(5,510,911)		-		(5,510,911)
36	Floyd County Schools							-		(10,080,834)		(10,080,834)		-		(10,080,834)
37	Franklin County Schools							-		(18,543,625)		(18,543,625)		-		(18,543,625)
38	Fulton County Schools							-		(1,732,463)		(1,732,463)		-		(1,732,463)
39	Gallatin County Schools							-		(4,372,688)		(4,372,688)		-		(4,372,688)
40	Garrard County Schools							-		(6,904,127)		(6,904,127)		-		(6,904,127)



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Pension Expense	Share of Contributions	Total Pension Expense
41	Grant County Schools						-	(9,256,212)	(9,256,212)	-	(9,256,212)
42	Graves County Schools						-	(10,314,236)	(10,314,236)	-	(10,314,236)
43	Grayson County Schools						-	(9,367,754)	(9,367,754)	-	(9,367,754)
44	Green County Schools						-	(4,747,433)	(4,747,433)	-	(4,747,433)
45	Greenup County Schools						-	(7,578,121)	(7,578,121)	-	(7,578,121)
46	Hancock County Schools						-	(4,673,234)	(4,673,234)	-	(4,673,234)
47	Hardin County Schools						-	(40,659,724)	(40,659,724)	-	(40,659,724)
48	Harlan County Schools						-	(8,567,946)	(8,567,946)	-	(8,567,946)
49	Harrison County Schools						-	(7,127,352)	(7,127,352)	-	(7,127,352)
50	Hart County Schools						-	(6,415,996)	(6,415,996)	-	(6,415,996)
51	Henderson County Schools						-	(19,850,194)	(19,850,194)	-	(19,850,194)
52	Henry County Schools						-	(5,613,593)	(5,613,593)	-	(5,613,593)
53	Hickman County Schools						-	(2,366,925)	(2,366,925)	-	(2,366,925)
54	Hopkins County Schools						-	(16,804,714)	(16,804,714)	-	(16,804,714)
55	Jackson County Schools						-	(5,602,119)	(5,602,119)	-	(5,602,119)
56	Jefferson County Schools						-	(396,608,949)	(396,608,949)	-	(396,608,949)
57	Jessamine County Schools						-	(24,542,039)	(24,542,039)	-	(24,542,039)
58	Johnson County Schools						-	(9,300,144)	(9,300,144)	-	(9,300,144)
59	Kenton County Schools						-	(39,746,368)	(39,746,368)	-	(39,746,368)
60	Knott County Schools						-	(5,916,309)	(5,916,309)	-	(5,916,309)
61	Knox County Schools						-	(11,481,389)	(11,481,389)	-	(11,481,389)
62	Larue County Schools						-	(6,598,695)	(6,598,695)	-	(6,598,695)
63	Laurel County Schools						-	(22,406,103)	(22,406,103)	-	(22,406,103)
64	Lawrence County Schools						-	(6,957,202)	(6,957,202)	-	(6,957,202)
65	Lee County Schools						-	(2,009,331)	(2,009,331)	-	(2,009,331)
66	Leslie County Schools						-	(4,207,747)	(4,207,747)	-	(4,207,747)
67	Letcher County Schools						-	(8,216,657)	(8,216,657)	-	(8,216,657)
68	Lewis County Schools						-	(5,321,906)	(5,321,906)	-	(5,321,906)
69	Lincoln County Schools						-	(8,663,756)	(8,663,756)	-	(8,663,756)
70	Livingston County Schools						-	(3,277,868)	(3,277,868)	-	(3,277,868)
71	Logan County Schools						-	(9,052,348)	(9,052,348)	-	(9,052,348)
72	Lyon County Schools						-	(2,335,684)	(2,335,684)	-	(2,335,684)
73	Madison County Schools						-	(27,938,017)	(27,938,017)	-	(27,938,017)
74	Magoffin County Schools						-	(4,599,663)	(4,599,663)	-	(4,599,663)
75	Marion County Schools						-	(9,521,625)	(9,521,625)	-	(9,521,625)
76	Marshall County Schools						-	(12,803,954)	(12,803,954)	-	(12,803,954)
77	Martin County Schools						-	(3,637,429)	(3,637,429)	-	(3,637,429)
78	Mason County Schools						-	(7,457,943)	(7,457,943)	-	(7,457,943)
79	McCracken County Schools						-	(19,455,055)	(19,455,055)	-	(19,455,055)
80	McCreary County Schools						-	(7,149,166)	(7,149,166)	-	(7,149,166)



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
81	McLean County Schools						-	(4,223,459)	(4,223,459)	-	(4,223,459)
82	Meade County Schools						-	(11,910,263)	(11,910,263)	-	(11,910,263)
83	Menifee County Schools						-	(2,682,250)	(2,682,250)	-	(2,682,250)
84	Mercer County Schools						-	(8,053,460)	(8,053,460)	-	(8,053,460)
85	Metcalf County Schools						-	(3,319,773)	(3,319,773)	-	(3,319,773)
86	Monroe County Schools						-	(4,962,690)	(4,962,690)	-	(4,962,690)
87	Montgomery County Schools						-	(10,557,126)	(10,557,126)	-	(10,557,126)
88	Morgan County Schools						-	(4,903,027)	(4,903,027)	-	(4,903,027)
89	Muhlenberg County Schools						-	(11,796,025)	(11,796,025)	-	(11,796,025)
90	Nelson County Schools						-	(13,169,069)	(13,169,069)	-	(13,169,069)
91	Nicholas County Schools						-	(2,248,349)	(2,248,349)	-	(2,248,349)
92	Ohio County Schools						-	(9,200,664)	(9,200,664)	-	(9,200,664)
93	Oldham County Schools						-	(37,836,030)	(37,836,030)	-	(37,836,030)
94	Owen County Schools						-	(4,334,027)	(4,334,027)	-	(4,334,027)
95	Owsley County Schools						-	(1,745,276)	(1,745,276)	-	(1,745,276)
96	Pendleton County Schools						-	(5,290,017)	(5,290,017)	-	(5,290,017)
97	Perry County Schools						-	(9,375,214)	(9,375,214)	-	(9,375,214)
98	Pike County Schools						-	(21,081,998)	(21,081,998)	-	(21,081,998)
99	Powell County Schools						-	(5,747,009)	(5,747,009)	-	(5,747,009)
100	Pulaski County Schools						-	(20,351,828)	(20,351,828)	-	(20,351,828)
101	Robertson County Schools						-	(1,026,945)	(1,026,945)	-	(1,026,945)
102	Rockcastle County Schools						-	(7,398,097)	(7,398,097)	-	(7,398,097)
103	Rowan County Schools						-	(7,615,747)	(7,615,747)	-	(7,615,747)
104	Russell County Schools						-	(7,203,416)	(7,203,416)	-	(7,203,416)
105	Scott County Schools						-	(27,111,591)	(27,111,591)	-	(27,111,591)
106	Shelby County Schools						-	(21,373,036)	(21,373,036)	-	(21,373,036)
107	Simpson County Schools						-	(8,353,763)	(8,353,763)	-	(8,353,763)
108	Spencer County Schools						-	(8,180,166)	(8,180,166)	-	(8,180,166)
109	Taylor County Schools						-	(6,904,857)	(6,904,857)	-	(6,904,857)
110	Todd County Schools						-	(4,537,121)	(4,537,121)	-	(4,537,121)
111	Trigg County Schools						-	(5,880,547)	(5,880,547)	-	(5,880,547)
112	Trimble County Schools						-	(2,912,713)	(2,912,713)	-	(2,912,713)
113	Union County Schools						-	(5,857,010)	(5,857,010)	-	(5,857,010)
114	Warren County Schools						-	(42,847,740)	(42,847,740)	-	(42,847,740)
115	Washington County Schools						-	(4,779,038)	(4,779,038)	-	(4,779,038)
116	Wayne County Schools						-	(7,758,449)	(7,758,449)	-	(7,758,449)
117	Webster County Schools						-	(5,597,983)	(5,597,983)	-	(5,597,983)
118	Whitley County Schools						-	(10,795,880)	(10,795,880)	-	(10,795,880)
119	Wolfe County Schools						-	(3,705,870)	(3,705,870)	-	(3,705,870)
120	Woodford County Schools						-	(11,708,892)	(11,708,892)	-	(11,708,892)



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Pension Expense	Share of Contributions	Total Pension Expense
122	Anchorage City Schools						-	(2,407,653)	(2,407,653)	-	(2,407,653)
124	Ashland City Schools						-	(7,444,887)	(7,444,887)	-	(7,444,887)
125	Augusta City Schools						-	(937,339)	(937,339)	-	(937,339)
126	Barbourville City Schools						-	(1,796,931)	(1,796,931)	-	(1,796,931)
127	Bardstown City Schools						-	(8,801,126)	(8,801,126)	-	(8,801,126)
128	Beechwood Independent Schools						-	(4,302,928)	(4,302,928)	-	(4,302,928)
129	Bellevue City Schools						-	(2,015,230)	(2,015,230)	-	(2,015,230)
131	Berea City Schools						-	(3,357,947)	(3,357,947)	-	(3,357,947)
134	Bowling Green City Schools						-	(12,456,983)	(12,456,983)	-	(12,456,983)
136	Burgin City Schools						-	(1,557,812)	(1,557,812)	-	(1,557,812)
140	Campbellsville City Schools						-	(3,330,943)	(3,330,943)	-	(3,330,943)
144	Caverna City Schools						-	(2,138,408)	(2,138,408)	-	(2,138,408)
147	Cloverport City Schools						-	(936,751)	(936,751)	-	(936,751)
150	Corbin City Schools						-	(7,745,636)	(7,745,636)	-	(7,745,636)
151	Covington City Schools						-	(12,895,081)	(12,895,081)	-	(12,895,081)
154	Danville City Schools						-	(6,464,509)	(6,464,509)	-	(6,464,509)
155	Dawson Springs City Schools						-	(1,742,640)	(1,742,640)	-	(1,742,640)
156	Dayton City Schools						-	(2,885,486)	(2,885,486)	-	(2,885,486)
158	East Bernstadt City Schools						-	(1,404,975)	(1,404,975)	-	(1,404,975)
160	Elizabethtown City Schools						-	(7,168,851)	(7,168,851)	-	(7,168,851)
161	Eminence Independent Schools						-	(2,601,341)	(2,601,341)	-	(2,601,341)
162	Erlanger-Elsmere City Schools						-	(7,491,211)	(7,491,211)	-	(7,491,211)
163	Fairview Independent Schools						-	(1,589,357)	(1,589,357)	-	(1,589,357)
166	Fort Thomas Independent Schools						-	(10,260,067)	(10,260,067)	-	(10,260,067)
167	Frankfort City Schools						-	(2,447,084)	(2,447,084)	-	(2,447,084)
170	Fulton City Schools						-	(869,303)	(869,303)	-	(869,303)
173	Glasgow City Schools						-	(6,610,454)	(6,610,454)	-	(6,610,454)
180	Harlan City Schools						-	(1,788,923)	(1,788,923)	-	(1,788,923)
182	Hazard Independent Schools						-	(2,757,016)	(2,757,016)	-	(2,757,016)
190	Jackson City Schools						-	(737,894)	(737,894)	-	(737,894)
191	Jenkins City Schools						-	(1,239,852)	(1,239,852)	-	(1,239,852)
206	Ludlow City Schools						-	(2,685,737)	(2,685,737)	-	(2,685,737)
210	Mayfield City Schools						-	(4,549,609)	(4,549,609)	-	(4,549,609)
214	Middlesboro City Schools						-	(3,122,274)	(3,122,274)	-	(3,122,274)
221	Murray City Schools						-	(4,940,654)	(4,940,654)	-	(4,940,654)
222	Newport City Schools						-	(6,041,676)	(6,041,676)	-	(6,041,676)
224	Owensboro City Schools						-	(16,354,068)	(16,354,068)	-	(16,354,068)
226	Paducah City Schools						-	(8,721,027)	(8,721,027)	-	(8,721,027)
227	Paintsville City Schools						-	(2,328,568)	(2,328,568)	-	(2,328,568)
228	Paris City Schools						-	(2,066,906)	(2,066,906)	-	(2,066,906)



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Pension Expense	Share of Contributions	Total Pension Expense
230	Pikeville City Schools						-	(4,096,976)	(4,096,976)	-	(4,096,976)
231	Pineville City Schools						-	(1,478,444)	(1,478,444)	-	(1,478,444)
235	Raceland City Schools						-	(2,747,873)	(2,747,873)	-	(2,747,873)
238	Russell City Schools						-	(6,838,889)	(6,838,889)	-	(6,838,889)
239	Russellville City Schools						-	(2,865,801)	(2,865,801)	-	(2,865,801)
240	Science Hill City Schools						-	(1,138,548)	(1,138,548)	-	(1,138,548)
246	Somerset City Schools						-	(4,497,832)	(4,497,832)	-	(4,497,832)
247	Southgate City Schools						-	(727,697)	(727,697)	-	(727,697)
258	Walton-Verona Independent Schools						-	(5,259,486)	(5,259,486)	-	(5,259,486)
259	West Point City Schools						-	-	-	-	-
260	Williamsburg City Schools						-	(2,070,535)	(2,070,535)	-	(2,070,535)
261	Williamstown City Schools						-	(2,086,935)	(2,086,935)	-	(2,086,935)
870	Ohio Valley Educational Cooperative						-	(1,494,844)	(1,494,844)	-	(1,494,844)
871	West Kentucky Educational Cooperative						-	(713,120)	(713,120)	-	(713,120)
872	Southeast South-Central Educational Cooperative						-	(331,625)	(331,625)	-	(331,625)
890	Green River Regional Educational Cooperative						-	(477,346)	(477,346)	-	(477,346)
891	Central KY Special Education Cooperative						-	(152,290)	(152,290)	-	(152,290)
892	KY Valley Educational Cooperative						-	(626,150)	(626,150)	-	(626,150)
894	KY Educational Development Corporation						-	(1,489,492)	(1,489,492)	-	(1,489,492)
895	Northern KY Cooperative for Educational Services						-	(1,012,775)	(1,012,775)	-	(1,012,775)
Total - Local School Districts							\$ 0	\$ (1,987,442,065)	\$ (1,987,442,065)	\$ -	\$ (1,987,442,065)
Total Non University		\$ 119,193	\$ 9,911,323	\$ 25,389,969	\$ 22,984,762	\$ 58,405,247	\$ (16,261,278)	\$ (2,011,031,458)	\$ (2,027,292,736)	\$ (31,158,061)	\$ (2,058,450,797)
State's Proportionate Share of Outflows/Inflows		\$ 17,495,810	\$ 1,252,588,456	\$ 3,214,962,710	\$ 5,836,309	\$ 4,490,883,285				\$ 123,365,470	



Schedule C – Schedules of Remaining Deferred Outflows and (Inflows)

CodeEmployer		NPL Sensitivity		Recognition of Existing Deferred Outflows (Inflows) of Resources for Future Plan Years Ending June 30,							
		Less 1%- 6.10% Employer's Proportionate Share of Net Pension Liability	Plus 1%- 8.10% Employer's Proportionate Share of Net Pension Liability								
		2023	2024	2025	2026	2027	Thereafter				
University Employers											
263	Eastern Kentucky University	\$ 116,523,370	\$ 61,029,126	\$ (11,949,742)	\$ 464,495	\$ 1,087,277	\$ (5,212,879)	\$ -	\$ -		
266	Kentucky State University	30,023,767	15,724,951	(1,656,344)	498,383	(64,022)	(1,388,624)	-	-		
269	Morehead State University	59,162,134	30,986,173	(6,993,561)	(1,028,805)	(671,676)	(2,765,645)	-	-		
270	Murray State University	61,276,514	32,093,580	(8,940,362)	(1,407,684)	(394,672)	(2,834,576)	-	-		
273	Western Kentucky University	91,956,710	48,162,335	(20,034,216)	(5,623,264)	(2,048,791)	(4,379,880)	-	-		
500	KCTCS Central Office - University	31,090,943	16,283,885	(3,037,013)	(760,315)	(696,841)	(1,481,735)	-	-		
	Total University	\$ 390,033,438	\$ 204,280,050	\$ (52,611,238)	\$ (7,857,190)	\$ (2,788,725)	\$ (18,063,339)	\$ -	\$ -		
	State's Proportionate Share of NPL - University	\$ 411,770,125	\$ 215,664,642	\$ (13,256,783)	\$ 3,326,817	\$ (3,252,462)	\$ (19,028,689)	\$ -	\$ -		
Non-University Employers											
400	KCTCS CENTRAL OFFICE	\$ 22,709,866	\$ 11,894,295	\$ (6,342,234)	\$ (2,574,375)	\$ (1,446,369)	\$ (1,140,245)	\$ -	\$ -		
801	KY High School Athletic Association	266,461	139,559	(344,708)	(342,590)	(363,043)	(48,475)	-	-		
805	KY School Boards Association	2,547,297	1,334,147	(506,189)	(199,960)	(89,499)	(120,230)	-	-		
806	KY Education Association	419,830	219,886	(38,960)	612	(1,349)	(18,852)	-	-		
807	KY Academic Association	271,386	142,138	(24,659)	(78)	(970)	(12,175)	-	-		
809	Jefferson County Teachers' Association	121,886	63,838	(11,601)	(546)	(1,015)	(5,530)	-	-		
		\$ 26,336,726	\$ 13,793,863	\$ (7,268,351)	\$ (3,116,937)	\$ (1,902,245)	\$ (1,345,507)	\$ -	\$ -		
State Agencies											
301	Technical Education District - Madisonville	\$ 12,150,974	\$ 6,364,074	\$ (1,656,552)	\$ (648,524)	\$ (329,975)	\$ (565,410)	\$ -	\$ -		
302	Technical Education District - Bowling Green	13,340,288	6,986,977	(1,416,455)	(239,527)	(190,678)	(610,890)	-	-		
303	Technical Education District - Elizabethtown	-	-	(8,673)	-	-	-	-	-		
304	Technical Education District - Frankfort	10,611,481	5,557,764	(1,125,176)	(94,757)	1,157	(469,964)	-	-		
305	Technical Education District - Hazard	11,940,972	6,254,085	(1,424,533)	(443,691)	(302,408)	(556,893)	-	-		
308	Adult Education - Workforce Investment	431,790	226,150	(177,348)	(94,091)	(72,205)	(26,311)	-	-		
316	Office of Career and Technical Education	4,388,956	2,298,716	(173,392)	172,067	(51,330)	(204,380)	-	-		
318	Department for Vocational Rehabilitation	21,264,645	11,137,360	(1,922,794)	(36,903)	(138,805)	(958,663)	-	-		
320	School for the Blind	3,941,337	2,064,275	(945,869)	(609,867)	(474,819)	(219,992)	-	-		
330	School for the Deaf	5,105,147	2,673,821	(1,402,021)	(159,066)	391,285	(181,687)	-	-		
345	Department of Education	31,438,883	16,466,118	(3,307,654)	87,155	189,605	(1,381,352)	-	-		
728	Department of Corrections	126,811	66,417	(23,115)	(8,946)	(2,089)	(5,710)	-	-		
		\$ 114,741,284	\$ 60,095,757	\$ (13,583,582)	\$ (2,076,150)	\$ (980,262)	\$ (5,181,252)	\$ -	\$ -		
	State's Proportionate Share of NPL - Non-University	\$ 17,447,108,427	\$ 9,137,924,687	\$ (1,294,889,280)	\$ 36,153,326	\$ (50,685,612)	\$ (779,311,538)	\$ -	\$ -		



Schedule D – Summary of Main Plan Provisions

AS INTERPRETED FOR ACCOUNTING AND REPORTING VALUATION PURPOSES

The Teachers' Retirement System of the State of Kentucky was established on July 1, 1940. The valuation took into account amendments to the System effective through June 30, 2021. The following summary describes the main benefit and contribution provisions of the System as interpreted for the valuation.

1 - DEFINITIONS

"Final average salary" means the average of the five highest annual salaries which the member has received for service in a covered position and on which the member has made contributions or on which the public board, institution or agency has picked up the member contributions. For a member who retires after attaining age 55 with 27 years of service, "final average salary" means the average of the three highest annual salaries.

2 - BENEFITS

Service Retirement Allowance

Members Before 7/1/2008

Condition for Allowance	Completion of 27 years of service or attainment of age 55 and 5 years of service.
Amount of Allowance	The annual retirement allowance for non-university members is equal to: (a) 2.0% of final average salary multiplied by service before July 1, 1983, plus (b) 2.5% of final average salary multiplied by service after July 1, 1983. (c) For individuals who become members of the Retirement System on or after July 1, 2002 and have less than 10 years of service at retirement, the retirement allowance is 2.0% of final average salary multiplied by service. If, however, they have 10 or more years, they receive a benefit percentage of 2.5% for all years of service up to 30 years. (d) For members retiring on or after July 1, 2004, the retirement allowance formula is 3.0% of final average salary for each year of service credit earned in excess of 30 years.



Schedule D – Summary of Main Plan Provisions

The annual retirement allowance for university members is equal to 2.0% of final average salary multiplied by all years of service.

For all members, the annual allowance is reduced by 5% per year from the earlier of age 60 or the date the member would have completed 27 years of service.

The minimum annual service allowance for all members is \$440 multiplied by credited service.

Members on and after 7/1/2008

Condition for Retirement

Completion of 27 years of service, attainment of age 60 and 5 years of service or attainment of age 55 and 10 years of service.

Amount of Allowance

The annual retirement allowance for non-university members is equal to:

- 1.7% of final average salary if service is 10 years or less.
- 2.0% of final average salary if service is greater than 10 years and no more than 20 years.
- 2.3% of final average salary if service is greater than 20 years but no more than 26 years.
- 2.5% of final average salary if service is greater than 26 years but no more than 30 years.
- 3.0% of final average salary for years of service greater than 30 years.

The annual retirement allowance for university members is equal to:

- 1.5% of final average salary if service is 10 years or less.
- 1.7% of final average salary if service is greater than 10 years and no more than 20 years.
- 1.85% of final average salary if service is greater than 20 years but less than 27 years.
- 2.0% of final average salary if service is greater than or equal to 27 years.

For all members, the annual allowance is reduced by 6% per year from the earlier of age 60 or the date the member would have completed 27 years of service.



Schedule D – Summary of Main Plan Provisions

Disability Retirement Allowance

Condition for Allowance

Totally and permanently incapable of being employed as a teacher and under age 60 but after completing 5 years of service.

Amount of Allowance

The disability allowance is equal to the greater of the service retirement allowance or 60% of the member's final average salary. The disability allowance is payable over an entitlement period equal to 25% of the service credited to the member at the date of disability or five years, whichever is longer. After the disability entitlement period has expired and if the member remains disabled, he will be retired under service retirement. The service retirement allowance will be computed with service credit given for the period of disability retirement. The allowance will not be less than \$6,000 per year. The service retirement allowance will not be reduced for commencement of the allowance before age 60 or the completion of 27 years of service.

Benefits Payable on Separation from Service

Any member who ceases to be in service is entitled to receive his contributions with allowable interest. A member who has completed 5 years of creditable service and leaves his contributions with the System may be continued in the membership of the System after separation from service, and file application for service retirement after the attainment of age 60.

Life Insurance

A separate Life Insurance fund has been created as of June 30, 2000 to pay benefits on behalf of deceased TRS active and retired members.



Schedule D – Summary of Main Plan Provisions

Death Benefits

A surviving spouse of an active member with less than 10 years of service may elect to receive an annual allowance of \$2,880 except that if income from other sources exceeds \$6,600 per year the annual allowance will be \$2,160.

A surviving spouse of an active member with 10 or more years of service may elect to receive an allowance which is the actuarial equivalent of the allowance the deceased member would have received upon retirement. The allowance will commence on the date the deceased member would have been eligible for service retirement and will be payable during the life of the spouse.

If the deceased member is survived by unmarried children under age 18 the following schedule of annual allowances applies:

<u>Number of Children</u>	<u>Annual Allowance</u>
1	\$ 2,400
2	4,080
3	4,800
4 or more	5,280

The allowances are payable until a child attains age 18, or age 23 if a full-time student.

If the member has no eligible survivor, a refund of his accumulated contributions is payable to his estate.

Options

In lieu of the regular Option 1, a retirement allowance payable in the form of a life annuity with refundable balance, any member before retirement may elect to receive a reduced allowance which is actuarially equivalent to the full allowance, in one of the following forms:

Option 2. A single life annuity payable during the member's lifetime with payments for 10 years certain.

Option 3. At the death of the member his allowance is continued throughout the life of his beneficiary.

Option 3(a). At the death of the beneficiary designated by the member under Option 3, the member's benefit will revert to what would have been paid had he not selected an option.

Option 4. At the death of the member one half of his allowance is continued throughout the life of his beneficiary.

Option 4(a). At the death of the beneficiary designated by the member under Option 4, the member's benefit will revert to what would have been paid had he not selected an option.



Schedule D – Summary of Main Plan Provisions

Post-Retirement Adjustments

The retirement allowance of each retired member and of each beneficiary shall be increased by 1.50% each July 1.

3 - CONTRIBUTIONS

Member Contributions

University members contribute 7.625% of salary to the Retirement System. Non-university members contribute 9.105% of salary to the Retirement System. Member contributions are picked up by the employer.



Schedule E – Statement of Actuarial Assumptions and Methods

The assumptions and methods used in the valuation were selected based on the actuarial experience study prepared as of June 30, 2020, submitted to and adopted by the Board on September 20, 2021.

INVESTMENT RATE OF RETURN: 7.10% per annum, compounded annually, including price inflation at 2.50% per annum.

SALARY INCREASES: Representative values of the assumed annual rates of future salary increases are as follows and include wage inflation at 2.75% per annum:

<u>Service</u>	<u>Annual Rate</u>
1	7.50%
2	5.50
3	5.00
4	5.00
5	5.00
10	3.25
15	3.25
20+	3.00

SEPARATIONS FROM SERVICE: Representative values of the assumed annual rates of death, disability, withdrawal, service retirement and early retirement are as follows:

AGE	Annual Rates for Males						
	DEATH*	DISABILITY	WITHDRAWAL			RETIREMENT	
			SERVICE			Before 27 Years of Service	After 27 Years of Service**
			0 – 4	5 – 9	10+		
20	0.031%	0.01%	20.00%				
25	0.020	0.01	11.00	3.25%			
30	0.032	0.01	10.00	3.60	2.80%		
35	0.042	0.02	11.00	3.60	1.55		
40	0.052	0.07	12.50	4.00	1.25		
45	0.072	0.18	11.50	4.00	1.10		17.0%
50	0.115	0.28	14.25	4.50	1.10		25.0
55	0.187	0.40	15.00	6.00	1.25	5.25%	40.0
60	0.304	0.50	15.00	0.00	0.00	13.50	33.0
62	0.366	0.50	15.00	0.00	0.00	15.0	30.0
65	0.478	0.50	20.00	0.00	0.00	20.0	30.0
70	0.723	0.50	20.00	0.00	0.00	25.0	30.0
75	1.141	0.50	20.00	0.00	0.00	100.0	100.0

* Base Rates

** Plus 8.5% in year when first eligible for unreduced retirement with 27 years of service.



Schedule E – Statement of Actuarial Assumptions and Methods

AGE	Annual Rates for Females						
	DEATH*	DISABILITY	WITHDRAWAL			RETIREMENT	
			SERVICE			Before 27 Years of Service	After 27 Years of Service**
			0 – 4	5 – 9	10+		
20	0.014%	0.01%	13.00%				
25	0.010	0.01	9.00	4.50%			
30	0.013	0.02	11.00	4.25	1.00%		
35	0.022	0.06	11.00	3.50	1.60		
40	0.030	0.10	12.50	4.00	1.20		
45	0.041	0.24	13.50	4.00	1.00		17.0%
50	0.058	0.38	15.00	4.50	1.25		20.0
55	0.091	0.50	15.00	5.00	1.60	5.0%	50.0
60	0.141	0.60	17.50	0.00	0.00	15.0	40.0
62	0.166	0.62	17.50	0.00	0.00	15.0	40.0
65	0.212	0.65	25.00	0.00	0.00	25.0	40.0
70	0.344	0.65	25.00	0.00	0.00	30.0	35.0
75	0.639	0.65	25.00	0.00	0.00	100.0	100.0

* Base Rates

** Plus 10.0% in year when first eligible for unreduced retirement with 27 years of service.

DEATHS AFTER RETIREMENT: Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality table, projected generationally based on Projection Scale MP-2020, with various set-forwards, set-backs, and adjustments for each of the groups. Below is a summary of the specific mortality tables and adjustments for each of the groups:

<u>Group</u>	<u>Membership Table</u>	<u>Set Forward (+)/ Setback (-)</u>	<u>Adjustment to Rates</u>	<u>Projection Scale</u>
Service Retirees	Teachers Benefit-Weighted	Male: +2 Female: +2	Male: 102%, Female: 98%	75% of MP-2020
Contingent Annuitants	Teachers Benefit-Weighted	Male: +2 Female: None	Male: 101%, Female: 100%	75% of MP-2020
Disabled Retirees	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 96%, Female: 94%	75% of MP-2020
Actives	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 100%, Female: 98%	75% of MP-2020



Schedule E – Statement of Actuarial Assumptions and Methods

Representative values of the assumed annual rates of death for service retirees, contingent annuitants, and disability retirees are shown below:

Age	Annual Base Rates of Death For					
	Service Retirees		Contingent Annuitants		Disability Retirees	
	Male	Female	Male	Female	Male	Female
45	0.0836%	0.0568%	0.6020%	0.2620%	1.0646%	0.7755%
50	0.1357	0.0843	0.7545	0.3200	1.6435	1.1910
55	0.2744	0.2215	0.8959	0.4460	2.1130	1.5416
60	0.4427	0.3322	1.1413	0.6220	2.4806	1.7616
65	0.7579	0.5351	1.6443	0.8990	3.0653	1.9834
70	1.4066	0.9682	2.5876	1.3530	3.9485	2.4149
75	2.6816	1.8649	4.1006	2.1510	5.3155	3.2562
80	5.0500	3.5819	6.5630	3.5730	7.6118	4.7705
85	9.4585	6.8071	10.7717	6.3160	11.2109	7.3423
90	16.9116	12.6077	17.7306	11.3290	16.9738	11.1653
95	26.9423	21.5110	26.8670	18.5900	24.2170	15.7356

ASSETS: Market Value

ADMINISTRATIVE EXPENSE LOAD: 0.32% of payroll

PERCENT MARRIED: 100%, with females 3 years younger than males

PART-TIMERS: Assume 0.25 years of accrual service per year

LOADS: Unused sick leave: 3% of active liability



Schedule F – Funding Policy

INTRODUCTION

Pursuant to the provisions of KRS 161.250, the Board of Trustees (board) of the Teachers' Retirement System of the State of Kentucky (TRS) is vested with the responsibility for the general administration and management of the retirement system. The board may adopt procedures necessary to conduct the business of the retirement system as needed. The applicable provisions of the Kentucky Revised Statutes shall control if any inconsistency exists between state law and this policy.

The board's policy is to achieve full funding within specific, closed 30-year periods without extending or resetting those periods. The underpinning of this is to request, as a minimum appropriation, amounts consistent with the annual actuarial valuations. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers. This policy, as detailed below for each trust, confirms the board's process for recommending annual appropriations payable and the primary actuarial assumptions and methodologies associated with calculating the annual appropriations. Other related actuarial assumptions and methodologies not listed in this policy are reported in annual valuations, the most recent experience study or resolutions adopted by the board.

Also, the board may provide options for funding the Retirement Annuity Trust that could accelerate the paying of its unfunded liability ahead of the amortization schedule and reduce costs for the state thereafter to the normal cost.

This policy is in keeping with the board's direction for the Investment Committee to continue investing for maximum returns within the parameters of prudent risk.

This policy will be reviewed regularly and amended or revised as necessary.

BACKGROUND

The level of benefits and funding for teachers' pension and health care are mandated in law by the General Assembly. Also, state law requires that the board, as fiduciary, adopt reasonable actuarial assumptions based upon the advice of a qualified independent actuary and other professionals. Additionally, state law mandates that actuarial assumptions be set using rigorous and transparent processes that adhere to recognized actuarial and financial standards. These processes reflect national best practices, including the Government Finance Officers Association's best practice guidelines for valuations, experience studies and actuarial audits.

TRS evaluates actuarial assumptions (demographic and economic) each year during the actuarial valuation. Several other regular reviews are conducted as well. The return assumptions are reviewed annually by the board's Investment Committee as it evaluates asset allocation. Every five years, the actuary conducts an experience investigation and recommends to the board adjustments to assumptions based upon past trends, current behavior and forecasted experience. TRS also conducts an actuarial audit (an audit of the actuary) at least every 10 years to ensure that assumptions are reasonable and appropriately reflect the cost of the plans. In the investment context, TRS conducts an asset liability modeling study at least every five years — and more often if material changes warrant an updated study. The annual valuation determines the additional required employer contribution that is included in TRS's biennial budget requests.



Schedule F – Funding Policy

The amount that the state owes for benefits consists of two components, normal cost and amortization of unfunded liability. The normal cost is included in the statutory payroll contributions made by members, the state and employers. The amortization of the unfunded liability includes the balance of the statutory payroll contributions paid by the state and employers above amounts needed for the normal cost. In addition, TRS requests additional contributions necessary to amortize the unfunded liability. The funding for medical insurance is outlined by statute as a shared responsibility of employees, employers, retirees and the state.

State law requires, and the TRS board uses, a qualified independent actuary that follows the generally accepted actuarial standards of practice. Some factors considered by the actuary include the length of amortization periods; the projected pattern of cash flows; current and projected interest rates and rates of inflation; and historical and projected returns of the funds. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers.

1. Retirement Annuity Trust Appropriations

KRS 161.714 provides that the retirement benefits promised to members of TRS are “an inviolable contract of the Commonwealth.” To satisfy this solemn commitment, the Commonwealth of Kentucky (state) is required to pay annual retirement appropriations necessary to fund the benefit requirements of retirement system members. All employers participating in TRS are responsible for paying the fixed employer contribution rate set forth in state law. However, the state – as plan guarantor – solely is responsible for paying the additional annual retirement appropriations necessary to keep the retirement system actuarially sound and able to satisfy the contract with members to provide promised benefits under KRS 161.550.

Beginning in 2019, the state made its full actuarially determined contribution. Prior to that, from fiscal year 2009 through 2018, the state did not pay the full annual retirement appropriations necessary to prefund the benefit requirements of members of the retirement system. Over this period, primarily because of the failure to fund, the state’s annual retirement appropriations grew.

Fiscal Year	Requested Minimum Additional Payment for Unfunded Liability	Appropriated
2009	\$ 60,499,800	\$ 0
2010	82,331,200	0
2011	121,457,000	0
2012	208,649,000	0
2013	260,980,000	0
2014	299,420,000	0
2015	386,400,000	0
2016	487,400,000	0
2017	520,372,000	498,537,600
2018	512,883,000	474,724,700
2019	553,597,000	553,597,000
2020	538,253,000	538,253,000
2021	551,092,000	551,092,000
2022	579,208,000	

(Source: TRS Report of the Actuary on the Annual Valuation Prepared as of June 30, 2019)



Schedule F – Funding Policy

The board always has acted as required by state law and requested annual retirement appropriations payable by the state that would ensure that the state meets the contractual obligations to members.

Annual Retirement Appropriations Payable by the State

In each biennial budget request, the board will recommend annual retirement appropriations payable by the state to meet the benefit requirements of the members of the retirement system. The annual retirement appropriations payable by the state are the sum of the fixed employer contribution rate set by state law and the additional annual retirement appropriations necessary to fund the benefit requirements of members of the retirement system (KRS 161.550). The recommended additional annual retirement appropriations payable by the state are calculated by the board's actuary based upon the results of an annual valuation preceding the beginning of each biennium (KRS 161.400).

Calculation of Annual Retirement Appropriations Payable by the State

The board will present the actuarially determined annual retirement appropriations payable by the state, which if paid, are the minimum to meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles for calculating the recommended annual retirement appropriations payable by the state:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014 to amortize the unfunded liability. This is calculated by the actuary as the minimum dollar amount for the state to pay each year, and the amount to be provided by the state shall not be less than the prior year's dollar amount until the plan reaches a funded ratio of 100%;
- D. Use a 20-year closed period to amortize new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Accelerated Funding Options

In recognition that the state may want to pay off the unfunded liability earlier than the closed amortization period and thereby reduce its costs long-term, the board may provide options for funding over and above the actuarially required minimum. The board will provide the analytical support showing the impact of each of these on the current costs and the potential savings.



Schedule F – Funding Policy

2. Retiree Health Insurance Trust

State law provides for a retiree medical plan (KRS 161.675). Since July 1, 2010, retired teachers, active teachers, local school boards, universities and the state have paid contributions for funding the retiree medical plan in accordance with the Shared Responsibility Solution contained in HB 540 (2010 RS). The contributions mandated by Shared Responsibility will meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the retiree health insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2011 to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

3. Life Insurance Trust

State law provides for a life insurance plan for active and retired teachers (KRS 161.655). The life insurance plan is funded by employer contributions. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the life insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014, to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Adopted December 16, 2013; amended December 9, 2015, September 19, 2016, September 18, 2017, November 14, 2017, September 16, 2019, September 21, 2020